Set 1: What a business is

Outcome ENT.START.01: Describe a business as solving a problem for customers who pay, and tell revenue-seeking activity from a hobby

Module: Foundation 1: Start here

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A business sells something people want: a service, a product, a digital file, or content. An entrepreneur is a person who starts and runs a business and takes on its risk. The key test is simple: does it solve a problem or meet a want for customers who are willing to pay? A hobby is done mainly for enjoyment; it may sell sometimes, but it is not organized to earn money. A business plans to earn more than it spends over time, even if it starts small.

Dana bakes bread for fun and gives it to friends. Which change would turn this into a business?

A. She buys a bigger, more expensive oven so she can bake more loaves at once.

B. She posts photos of her bread online each day.

C. She bakes twice as many loaves to give away.

D. She starts selling loaves each week to neighbors who pay for them.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q1
Entrepreneurship, Set 1: What a business is · MAIN · Q1/5 · Outcome ENT.START.01 (local)

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Which sentence best describes what every business does?

A. It always rents an office or a store building.
B. It offers something that customers want and will pay for.
C. It sells only physical items made in a factory and shipped to stores.
D. It must have employees besides the owner.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q2
Entrepreneurship, Set 1: What a business is · MAIN · Q2/5 · Outcome ENT.START.01 (local)

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Marco fixes bikes. Which fact best shows his bike repair is a business rather than a hobby?

A. He enjoys fixing bikes on weekends.
B. He owns many tools and a work stand.
C. He has fixed his own bike many times and knows every part of it well.
D. He charges a set price and plans to earn more than his costs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q3
Entrepreneurship, Set 1: What a business is · MAIN · Q3/5 · Outcome ENT.START.01 (local)

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What is an entrepreneur?

A. A person who starts and runs a business and takes on its risk.
B. A person who has already earned a lot of money from investing it wisely.
C. Any person who works for a large company.
D. A person who only invents new technology.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q4
Entrepreneurship, Set 1: What a business is · MAIN · Q4/5 · Outcome ENT.START.01 (local)

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Lena tutors math. Which question should she ask first to check that tutoring can be a business?

A. How many hours does she enjoy tutoring?
B. Should she buy a new laptop and tablet for lessons before she starts?
C. Which color should her business cards be?
D. Are there students or parents who will pay for this help?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-M-Q5
Entrepreneurship, Set 1: What a business is · MAIN · Q5/5 · Outcome ENT.START.01 (local)

Learn
Think of a lemonade stand. It has something to sell (lemonade), people who want it (thirsty walkers), and a price they pay. That is the core of any business: something people want, customers, and payment. If you take away the paying customers, you have a hobby or a gift. Bigger businesses add more steps, but the core stays the same: a want or problem, an offer that meets it, and customers who pay.

A lemonade stand sells cups to walkers who pay 1 dollar. What are the walkers?

A. The owners
B. The employees
C. The customers
D. The suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-B1-Q1
Entrepreneurship, Set 1: What a business is · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.START.01 (local)

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Which of these is a business?

A. Watching many online videos about how to train dogs well
B. Walking a friend's dog as a favor
C. Walking dogs for neighbors who pay 15 dollars a walk
D. Walking your own dog every morning

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-B1-Q2
Entrepreneurship, Set 1: What a business is · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.START.01 (local)

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Sam paints pictures only for his own walls. What is missing for this to be a business?

A. A studio in another room
B. Customers who pay for the paintings
C. A larger set of paint brushes
D. More hours spent painting each week

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What three parts does every business need?

A. Something to sell, customers, and payment
B. A logo, a website, and a slogan
C. A patent, an outside investor, and a store building
D. An office, a loan, and employees

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Ana knits hats and sells some at a weekend market. Which part of her activity is the business part?

A. Wearing her own hats in winter
B. Selling hats to market shoppers who pay
C. Choosing yarn colors and patterns she likes best for hats
D. Knitting while watching TV

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-B1-Q5
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Priya sells handmade candles. She charges 12 dollars each, and each candle costs her 5 dollars to make. She sold 20 last month. What is the best sign she is running a business?

A. Her friends say her candles smell wonderful.
B. She charges customers more than the candles cost to make.
C. She has made candles for many years as a relaxing evening pastime.
D. She bought a box of candle jars in bulk.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F1-Q1
Entrepreneurship, Set 1: What a business is · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.START.01 (local)

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Tomas mows his own lawn and his grandmother's lawn for free. A neighbor offers to pay him 25 dollars a week. If he says yes and finds more paying neighbors, what has changed?

A. He now needs a store to run his business.

B. He has become an employee of the neighbor.

C. Nothing has changed, because mowing is the same work as before.

D. He now has paying customers, which starts a service business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F1-Q2
Entrepreneurship, Set 1: What a business is · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.START.01 (local)

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Which plan sounds most like a business rather than a hobby?

A. Sell 30 phone cases a month at a price above their cost.
B. Design phone cases for my own phone each month.
C. Watch videos about phone case design.
D. Collect rare and unusual phone cases from shops around the world.

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Jun earns a little money from a video he posted, but he posts only when he feels like it and tracks nothing. What would most clearly make his channel a business?

A. Asking friends to like every video
B. Buying a more expensive camera and new lights so his videos look better
C. Planning content and income sources aimed at earning more than his costs
D. Posting a funny video once in a while

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Entrepreneurship, Set 1: What a business is · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.START.01 (local)

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Ruth sells cookies at school events. She spends 40 dollars on ingredients and takes in 35 dollars. What does this tell her about her cookie sales so far?

A. She cannot be a business at all, because she lost money this time.
B. She is making a good profit already.
C. She is breaking exactly even.
D. She is spending more than she takes in, so she is losing money.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F1-Q5
Entrepreneurship, Set 1: What a business is · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.START.01 (local)

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Keisha sells jewelry online but earns less than she spends on supplies every month and has no plan to change prices or costs. Which statement is most accurate?

A. Losing money is fine forever, as long as people keep liking the jewelry.
B. She is already a profitable business.
C. She is selling, but without changes it will keep losing money.
D. Selling online means she must be a hobby.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q1
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.START.01 (local)

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Two friends sell T-shirts. Friend A sells 5 a month to strangers above cost. Friend B gives 50 away to promote a club. Which is acting more like a business?

A. Friend A, because strangers pay more than the shirts cost
B. Friend B, because more shirts went out
C. Both equally, because both handle shirts
D. Neither of them, because T-shirts are not a real product to sell

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q2
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.START.01 (local)

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A learner says, "A business must start big with an office, staff and a loan." What is the best response?

A. A business must avoid ever having an office.
B. Many businesses start small, from home, with the owner doing the work.
C. Only loans make something a business.
D. That is correct, because small starts at home are not real businesses.

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Omar is not sure whether his weekend drone photography will become a business. What should he check first?

A. Whether his friends and family think his photos look really nice
B. Whether he can name the business today
C. Whether his drone is the newest model
D. Whether people will pay a price that covers his costs and time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q4
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.START.01 (local)

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Carla charges 20 dollars per haircut at home. Supplies cost 4 dollars per cut, and she does 10 a month. She says she has no business costs at all. What is she forgetting?

A. The 4 dollars of supplies per cut are a business cost.
B. Haircuts can never have costs.
C. Costs only exist for big companies.
D. Her customers pay for her supplies directly, so they are not her costs.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S1-F2-Q5
Entrepreneurship, Set 1: What a business is · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.START.01 (local)

Set 2: Side business or full-time business

Outcome ENT.START.02: Compare a side business with a full-time business by time, income needs and risk

Module: Foundation 1: Start here

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A side business runs alongside a job or school. A full-time business is your main work and main income. A side business usually has less risk, because a paycheck or other income still covers living costs while you test the idea, but it has less time. A full-time business has more time but more risk: if sales are slow, personal bills may go unpaid. Many owners start on the side, then decide later using evidence such as steady sales, savings and a clear plan.

Mia works 40 hours a week and wants to test a pet-sitting idea. Which plan has the lower personal risk?

A. Borrow money to open a large pet hotel later this month
B. Sign a long lease for a pet store
C. Keep her job and pet-sit on weekends to test demand
D. Quit her job today to pet-sit full time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-M-Q1
Entrepreneurship, Set 2: Side business or full-time business · MAIN · Q1/5 · Outcome ENT.START.02 (local)

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What is the main tradeoff of a side business?

A. No customers and no costs
B. Lower risk to your income, but less time for the business
C. More time for the business and no risk at all to income
D. Higher risk and more time

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Which situation best fits a full-time business?

A. The owner tries it during a school break.
B. The owner works on it two evenings a week.
C. The owner has another full-time job that pays all of the bills.
D. The business is the owner's main work and main source of income.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-M-Q3
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Leo's side business earns 300 dollars a month. His personal bills are 2,000 dollars a month. What does this tell him about quitting his job now?

A. The business does not yet earn enough to cover his bills.
B. He can quit, because 300 dollars is steady income.
C. He should close the business now, because 300 dollars is too small.
D. He can quit, because bills do not matter at first.

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Which evidence would best support moving a side business to full time?

A. A new logo and website
B. Several months of steady sales plus savings to cover slow months
C. One very good week of sales
D. Many friends and relatives saying the idea is great and will grow

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-M-Q5
Entrepreneurship, Set 2: Side business or full-time business · MAIN · Q5/5 · Outcome ENT.START.02 (local)

Learn
Picture two people starting a cleaning service. Ana keeps her job and cleans homes on Saturdays. Ben quits his job and cleans homes every day. Ana has fewer hours but still gets her paycheck, so slow weeks do not hurt her bills. Ben has many more hours to find customers, but a slow week means less money for rent and food. That is the basic tradeoff between a side business and a full-time business: time versus risk.

Ana cleans homes on Saturdays and keeps her job. What kind of business is this?

A. A side business
B. A corporation
C. A hobby only
D. A full-time business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-B1-Q1
Entrepreneurship, Set 2: Side business or full-time business · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.START.02 (local)

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Ben quit his job to clean homes every day. What is his main extra risk compared with Ana?

A. He has fewer hours than Ana to look for customers.

B. He cannot have customers.

C. A slow week can leave him short for personal bills.

D. He must pay for a store.

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Entrepreneurship, Set 2: Side business or full-time business · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.START.02 (local)

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What does a side business usually have less of?

A. Customers who pay for the work
B. Time to work on the business
C. Risk to income
D. Legal rights

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Which word best describes what a job adds to a side business plan?

A. Speed
B. Ownership
C. Safety
D. Customers

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A student runs a small design business after school. Which describes it?

A. Not a business, because students cannot sell
B. A partnership with the school
C. A full-time business with unlimited hours
D. A side business with limited hours

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Rosa has 3 months of savings, a job she likes, and an untested idea for a meal-prep service. Her goal is to test demand without risking her rent. What is the best start?

A. Offer meal prep on weekends while keeping her job
B. Take a large loan to open a restaurant
C. Wait until the idea is perfect before telling anyone
D. Quit her job and spend her savings on a kitchen

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Ivan's side business has earned 2,500 dollars a month for 8 months. His bills are 2,200 dollars a month and he has 6 months of savings. He wants to go full time. Which fact most supports his plan?

A. He enjoys the business more than his current job, so he will work hard

B. His logo won a design contest

C. Steady earnings above his bills, plus savings for slow months

D. A friend says it will definitely grow

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A parent can work only 10 hours a week. Which business setup fits best?

A. Hiring five staff before having customers
B. A business that requires being on call all day
C. A side business with a small number of clients
D. A full-time store open 60 hours a week

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F1-Q3
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.START.02 (local)

Learn
A side business runs alongside a job or school. A full-time business is your main work and main income. A side business usually has less risk, because a paycheck or other income still covers living costs while you test the idea, but it has less time. A full-time business has more time but more risk: if sales are slow, personal bills may go unpaid. Many owners start on the side, then decide later using evidence such as steady sales, savings and a clear plan.

Which is a good reason to keep a business on the side for now?

A. Sales are growing but still below personal living costs.
B. The business is fully booked every day.
C. The owner has no other source of income.
D. Sales already cover all costs with plenty of savings to spare.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F1-Q4
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.START.02 (local)

Learn
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Grace runs a side bakery that makes 600 dollars a month. Going full time might triple sales to 1,800 dollars. Her bills are 2,400 dollars a month. What should she conclude?

A. Tripled sales would leave money to spare.
B. The numbers do not really matter for this kind of decision.
C. She should quit because sales would grow.
D. Even tripled sales would not cover her bills yet.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F1-Q5
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.START.02 (local)

Learn
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Owen's employment agreement may limit outside work in the same field. He wants to start a side business doing similar work. What should he check first?

A. How many followers a competitor in the same field has online
B. What his employment agreement says about outside work
C. Whether his friends like the idea
D. Which logo font to use

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q1
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.START.02 (local)

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Nadia plans to quit her job for her business. She has counted business costs but not health insurance, which her job provided. What is the main gap?

A. Health insurance is only a business cost, not a personal one.
B. There is no gap if sales are high.
C. She has counted too many business costs.
D. She has left out personal costs her job used to cover.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q2
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.START.02 (local)

Learn
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A side business took 25 hours last week on top of a 40-hour job, and the owner is exhausted. Which choice best protects the business and the owner?

A. Stop sleeping enough to fit everything in
B. Keep adding customers until it gets easier
C. Set a weekly hour limit and take only the work that fits
D. Quit the job now without first checking the personal finances

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q3
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.START.02 (local)

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Sales were strong for one month because of a holiday. The owner wants to go full time now. What is the main problem with this evidence?

A. One holiday month may not show normal, steady demand.
B. The owner should ignore all sales numbers.
C. Strong sales in one month prove the business will always keep growing.
D. Holiday sales are not real money.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q4
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.START.02 (local)

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Two plans: Plan A keeps a job and grows slowly. Plan B goes full time with 2 months of savings and no steady sales yet. The owner's stated priority is never missing rent. Which plan fits that priority?

A. Neither plan, because small businesses never earn enough to cover rent
B. Plan A, because the job keeps rent covered while the business grows
C. Plan B, because full time grows faster
D. Plan B, because savings always last

REFERENCE LABEL: NOT PART OF THE QUESTION ID S2-F2-Q5
Entrepreneurship, Set 2: Side business or full-time business · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.START.02 (local)

Set 3: Four ways to sell: services, products, digital, content

Outcome ENT.START.03: Classify a business idea as a service, physical product, digital product or content business, and name what each needs

Module: Foundation 1: Start here

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Jada offers house cleaning for 30 dollars an hour. What kind of business is this?

A. A digital product
B. A content business
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q1/5 · Outcome ENT.START.03 (local)

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Ken sells a printable budget planner that buyers download. What kind of business is this?

A. A content business
B. A digital product
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q2/5 · Outcome ENT.START.03 (local)

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Which business must plan for stock, packaging and shipping?

A. Running a cooking video channel
B. Tutoring students over video calls
C. Selling an online course
D. Selling handmade soap online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q3
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q3/5 · Outcome ENT.START.03 (local)

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Ola posts free gardening videos and earns money when brands sponsor them. What kind of business is this?

A. A content business
B. A digital product
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q4
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q4/5 · Outcome ENT.START.03 (local)

Learn
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What usually limits how much a one-person SERVICE business can earn?

A. Platform sponsorship rules
B. Shipping costs for each item
C. The owner's available hours
D. The number of downloads allowed

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-M-Q5
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · MAIN · Q5/5 · Outcome ENT.START.03 (local)

Learn
Ask one question: what does the customer get? If they get your time and skill, like a haircut, it is a service. If they get an item they can hold, like a mug, it is a physical product. If they get a file or online access, like an e-book or an app, it is a digital product. If people watch, read or listen for free and money comes from sponsors, ads, affiliates or the creator's own products, it is content.

A customer receives a haircut. What do they get?

A. Someone's time and skill
B. An item to hold
C. A file to download
D. Free videos paid for by sponsors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.START.03 (local)

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A customer receives a mug in the mail. What kind of sale is this?

A. Content
B. A service
C. A digital product sent as a file
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.START.03 (local)

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A customer pays for access to an online course. What kind of sale is this?

A. Content paid for by sponsors
B. A digital product
C. A service
D. A physical product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q3
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A podcast is free to listen to and earns from ads. What kind of business is it?

A. A service
B. A physical product
C. A digital product sold to listeners
D. Content

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q4
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.START.03 (local)

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A tutor also sells a printed workbook. Which two kinds of selling is the tutor doing?

A. A service and a physical product
B. Two services
C. Two digital products
D. A digital product and a content business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-B1-Q5
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Ben wants to sell custom T-shirts and ship them across the country. Which need should he plan for first?

A. Sponsorship rules for videos
B. Travel time between appointments at customers' homes
C. Stock or printing, packaging and shipping costs
D. Software updates for users

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.START.03 (local)

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Fatima sells an online quiz app. Which ongoing need fits her business best?

A. Customer support and app updates
B. Travel between client homes
C. Packaging materials
D. Restocking boxes of inventory in a storage room

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.START.03 (local)

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Raj runs a lawn-care service alone. He is fully booked. What is the main way to earn more without adding hours?

A. Buy more inventory
B. Post more free videos about lawn care online
C. Raise prices or offer higher-value services
D. Sell more downloads

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q3
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Lucy makes cooking videos and wants income that does not depend only on sponsors. Which option fits a content business best?

A. Remove all links and product mentions from her videos
B. Only accept more sponsors
C. Stop posting videos
D. Sell her own recipe e-book to her audience

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q4
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Which business can sell the same item many times without making a new copy each time?

A. A dog-walking service
B. An e-book sold as a download
C. A cake bakery
D. A hand-painted portrait of a customer's pet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F1-Q5
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.START.03 (local)

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A yoga teacher runs classes, sells mats, and posts free videos with sponsors. Which statement is most accurate?

A. She mixes a service, a physical product and content.
B. Mixing several kinds of selling is not allowed for one owner.
C. She runs only a content business.
D. She runs only a service business.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q1
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.START.03 (local)

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Tom thinks his digital course has no costs because "files are free to copy." Which cost is he most likely forgetting?

A. Restocking printed copies
B. Shipping printed boxes and workbooks to each new student
C. Course platform fees and time to answer student questions
D. Gas for driving to students

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q2
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.START.03 (local)

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A creator has many viewers but no income. Which missing piece is most likely the problem?

A. Too many viewers
B. Too few service appointments booked with viewers each week
C. Not enough shipping options
D. No way to earn yet, such as sponsors, affiliates, ads or products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q3
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.START.03 (local)

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A baker wants to also sell a digital recipe book. Her stated goal is extra income without more baking hours. Which addition fits that goal?

A. A weekend market stall

B. The digital recipe book, sold as a download

C. A second oven so she can bake cakes much faster

D. More custom cakes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q4
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.START.03 (local)

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Which question best decides whether an idea is a service or a product?

A. Is the price above 50 dollars?
B. Is the idea popular with people on social media right now?
C. Does the customer receive time and skill, or an item or file?
D. Does the owner work from home?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S3-F2-Q5
Entrepreneurship, Set 3: Four ways to sell: services, products, digital, content · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.START.03 (local)

Set 4: Founder case: Ben & Jerry's starts small

Outcome ENT.CASE.01: Apply a documented early decision (learning a skill cheaply and starting with one small shop) to a new small business

Module: Foundation 1: Start here

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history: Ben Cohen and Jerry Greenfield took a $5 correspondence (mail) course in ice cream making from Penn State. In 1978 they opened their first scoop shop in a renovated gas station in Burlington, Vermont. They had first thought about bagels, but the equipment cost too much. Lesson drawn by this course (an interpretation, not their words): learn the skill cheaply, pick an idea whose start-up costs you can afford, and begin with one small location. One success story does not guarantee the same result for another business.

According to the passage, how did the founders learn ice cream making?

A. Buying an existing ice cream company
B. Working several years in a big ice cream factory first
C. A degree in food science
D. A low-cost correspondence course from Penn State

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q1/5 · Outcome ENT.CASE.01 (local)

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Why does the passage say they did not start with bagels?

A. They could not find a building.
B. The bagel equipment cost too much.
C. Nobody in town liked bagels.
D. Bagels were not allowed in Vermont.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q2
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q2/5 · Outcome ENT.CASE.01 (local)

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Which lesson does this course draw from the case?

A. Pick a start you can afford and begin small.
B. Never take a course before starting.
C. Buying the most expensive equipment guarantees success.
D. Always open many locations at once.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q3
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Mo wants to sell smoothies. Applying the lesson, which first step fits best?

A. Skip learning and hope customers come
B. Take an affordable course and test sales at one small stand
C. Open three cafés in one month
D. Buy the most expensive commercial blender line before testing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q4
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q4/5 · Outcome ENT.CASE.01 (local)

Learn
Documented history: Ben Cohen and Jerry Greenfield took a $5 correspondence (mail) course in ice cream making from Penn State. In 1978 they opened their first scoop shop in a renovated gas station in Burlington, Vermont. They had first thought about bagels, but the equipment cost too much. Lesson drawn by this course (an interpretation, not their words): learn the skill cheaply, pick an idea whose start-up costs you can afford, and begin with one small location. One success story does not guarantee the same result for another business.

Which statement about the Ben & Jerry's case is accurate?

A. It shows founders must start in old gas stations to succeed.
B. It shows courses are never useful.
C. It shows one start, not a guaranteed result for other shops.
D. It proves any ice cream shop will succeed.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-M-Q5
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · MAIN · Q5/5 · Outcome ENT.CASE.01 (local)

Learn
A good lesson from a founder story uses what is documented, such as a course taken, a first location, or a choice between two ideas. Enthusiasm is different: a friend saying "your shop will be amazing" is a feeling, not evidence. When you study a case, separate the facts that are recorded from the hopes and from later success. Later fame does not prove that each early step was the reason; it only shows what happened in that case.

Which is documented in the passage about Ben & Jerry's?

A. They opened their first shop in a renovated gas station.
B. They knew from the first day that they would be very famous.
C. Every customer loved the first flavor.
D. They never had any doubts.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.01 (local)

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A friend says, "Your ice cream idea will definitely work." What is this?

A. A signed customer contract
B. Enthusiasm, not evidence
C. Proof of demand
D. A documented sale

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q2
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.01 (local)

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Which is the best evidence that people will buy your ice cream?

A. Many likes on a photo of a cone
B. Your family saying it tastes good
C. A famous national company also sells ice cream
D. Customers paying for scoops at a test stand

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q3
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.01 (local)

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Later fame of a company shows what?

A. That their first shop was the best possible location in the whole state
B. That every early choice was correct
C. That the company became successful, not that each early step caused it
D. That copying them guarantees success

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q4
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.01 (local)

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When studying a founder story, what should you separate?

A. Recorded facts from hopes and opinions
B. Dates from names only
C. Good ice cream flavors from bad ice cream flavors
D. Ice cream from bagels

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-B1-Q5
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Ivy wants to open a bike-repair business. Bike-shop rent is high in her town. Applying the lesson, what is the best start?

A. Sign a five-year lease on a large shop on the main street now
B. Learn repairs through an affordable class and start with mobile repairs
C. Open in three neighborhoods at once
D. Buy every tool before her first customer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.01 (local)

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Two ideas: Idea A needs 20,000 dollars of equipment. Idea B needs 1,500 dollars. Owner savings are 3,000 dollars and her goal is to avoid debt. Which idea fits the lesson and her goal?

A. Neither, because all equipment is risky
B. Idea A, because bigger ideas earn more
C. Idea A, because expensive equipment always pays for itself
D. Idea B, because its start-up cost fits her savings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q2
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Sam wants to make candles. Which first step best matches "learn the skill cheaply"?

A. Buy a factory candle machine
B. Hire a candle expert full time
C. Follow a low-cost class and practice small batches
D. Skip practice and start selling candles to stores at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q3
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A food-truck owner wants to "start small." Which plan fits best?

A. Run the truck at one weekly market before adding more locations
B. Advertise in every city in the state
C. Buy three trucks before the first sale
D. Open a full restaurant and a food truck together in the first month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q4
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Which statement best applies the case to a new business without overclaiming?

A. Only ice cream businesses can start small.
B. Starting small and affordable lowers risk while you learn.
C. Taking a $5 course guarantees profit.
D. Starting a business in an old gas station guarantees success.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F1-Q5
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.01 (local)

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Lana copies the "start in an old gas station" idea for her bakery, but local zoning may not allow food businesses there. What should she check before signing?

A. Whether the old gas station building looks charming to visitors
B. Whether friends like the location
C. What year Ben & Jerry's opened
D. Local zoning and health permit rules for that building

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q1
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.01 (local)

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Why might "start with one small shop" fail for an online-only business?

A. An online business may not need a physical shop at all.
B. Online businesses must start big.
C. Online businesses cannot start small, so the lesson never applies.
D. Small shops are illegal online.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q2
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Raul says, "They took a $5 course, so I need no other training." What is the main problem?

A. Training is never needed.
B. His business may need more training, licenses or experience.
C. The $5 course was what caused all of their later success.
D. Courses always cost 5 dollars.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q3
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A town already has five ice cream shops. A new owner wants to copy the case exactly. What should be checked first?

A. Which year the founders met
B. How big the founders' very first sign over the shop door was at the opening
C. Whether there is enough demand for another shop and how it would differ
D. Whether the founders liked vanilla

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q4
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Which statement correctly separates history from the course's interpretation?

A. Both the location and the lesson are direct quotes from the two founders.
B. The lesson is a law that all founders follow.
C. The shop location is documented; "start small" is a lesson drawn from it.
D. Neither is documented.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S4-F2-Q5
Entrepreneurship, Set 4: Founder case: Ben & Jerry's starts small · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.01 (local)

Set 5: Finding a real customer problem

Outcome ENT.CUST.01: Identify a specific, frequent problem that someone already spends time or money on

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A good business idea starts with a real problem. A real problem happens often, matters to the person, and is something they already spend time or money trying to solve. "People might like this" is weak. "Parents in my neighborhood drive 30 minutes twice a week to a tutor" is strong, because it describes a costly habit that already exists. Look for complaints, workarounds (homemade fixes), and money already being spent.

Which statement describes the strongest customer problem?

A. Some people might enjoy a new kind of phone case someday.
B. Restaurant owners spend hours each week fixing their online menus.
C. My friends said a glow-in-the-dark mug sounds kind of fun.
D. Everyone would probably like more free time in their lives, so it is a problem.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q1
Entrepreneurship, Set 5: Finding a real customer problem · MAIN · Q1/5 · Outcome ENT.CUST.01 (local)

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What is a "workaround"?

A. A product that has already solved the problem fully for everyone
B. A complaint posted online about a company's prices
C. A business rule that customers must follow before buying
D. A homemade fix people use because no good solution exists yet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q2
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Nina notices dog owners in her building tie their dogs outside the grocery store for 20 minutes. What does this suggest?

A. Nothing useful, because the owners have not complained yet
B. Proof that a dog-sitting business will certainly succeed
C. A real, repeated problem that a service might solve
D. A sign that dog owners do not care about their pets at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q3
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Which clue best shows people already spend money on a problem?

A. A news story says homework levels have changed over time.
B. Local parents pay 40 dollars an hour for help with math homework.
C. Students post jokes online about long homework assignments.
D. Parents say math homework is "annoying" whenever they are asked about it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q4
Entrepreneurship, Set 5: Finding a real customer problem · MAIN · Q4/5 · Outcome ENT.CUST.01 (local)

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Which is the best first question for finding a real problem?

A. Would you buy my new homework app if I built it for you someday?
B. How much would you pay for anything I decide to sell?
C. What tasks take up your time each week that you dislike?
D. Do you agree my idea is clever and worth trying out?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-M-Q5
Entrepreneurship, Set 5: Finding a real customer problem · MAIN · Q5/5 · Outcome ENT.CUST.01 (local)

Learn
Start with the problem, not your product. Think of a person stuck in a long line at a coffee shop every morning. The problem is wasted time. A product, like an order-ahead app, is one possible answer. If you start with "I want to build an app," you may build something nobody needs. If you start with "people wait 15 minutes every morning," you can test different answers and keep the one people choose. Problems come first; products come second.

People wait 15 minutes in line for coffee each morning. Which part is the problem?

A. The coffee shop's menu
B. The 15-minute wait
C. The price of coffee
D. An order-ahead app

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q1
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Which statement starts with a problem?

A. I will sell bright blue backpacks to everyone.
B. Many renters struggle to find quiet study spaces nearby.
C. My brand will have a lightning bolt logo.
D. I want to build an app with many cool features for people.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q2
Entrepreneurship, Set 5: Finding a real customer problem · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.01 (local)

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Why start with the problem?

A. So the product is as expensive as possible
B. So you can skip talking to customers completely
C. So you do not build something nobody needs
D. So you can choose a business name sooner

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An order-ahead app is one answer to long lines. Which is another possible answer?

A. Making the coffee cups larger than before
B. Adding a second cashier during rush hour
C. Raising the price of a large coffee
D. Changing the color of the store sign

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q4
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Which is a product, not a problem?

A. Workers with no time to cook dinner
B. Families wasting food every week
C. A meal-planning app
D. Shoppers forgetting items at the store

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-B1-Q5
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Three problems a student heard about. Which is best to test first? (1) Neighbors pay a teen 20 dollars to carry groceries upstairs weekly. (2) A cousin wishes shoes came in more colors. (3) A friend says parking is annoying sometimes.

A. Problem 3, because parking is a common topic that comes up in towns

B. Problem 1, because people already pay to solve it every week

C. None, because none of these is a real problem at all

D. Problem 2, because more colors would be fun to design

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q1
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A small bakery owner spends 5 hours a week answering the same questions about allergies by phone. Which business idea targets this problem most directly?

A. A new line of colorful bakery boxes for cakes
B. A social media page with funny bakery jokes and memes for customers
C. A clear allergy guide and order form for bakeries
D. A discount coupon book for bakery customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q2
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Which observation most clearly shows a workaround?

A. Office workers buy lunch from three different nearby restaurants.
B. Office workers share one spreadsheet to track lunch orders.
C. Office workers prefer lunch at noon most days.
D. Office workers enjoy eating lunch together on Fridays.

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A landscaper hears one client say, once, that leaf blowers are loud. What is the best next step?

A. Ignore it, since only complaints written down in emails count
B. Launch a "quiet landscaping" brand next week
C. Buy quiet equipment for the whole crew today
D. Ask more clients whether noise is a repeated problem for them

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q4
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Two problems: A happens once a year and costs 10 dollars. B happens weekly and costs 30 dollars each time. Over a year (52 weeks), how much does B cost a person?

A. 30 dollars
B. 520 dollars
C. 1,300 dollars
D. 1,560 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F1-Q5
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Many people say traffic is terrible, but none would pay for a service to avoid it. What does this show?

A. Every complaint can become a profitable business quickly.
B. A common complaint is not always a problem people will pay to solve.
C. People will always pay as soon as any service exists, without exception.
D. Traffic is not a real problem for anyone who drives to work.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q1
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Leah's idea solves a problem only she has. Before building it, what should she check?

A. Whether she can design a logo for it this week
B. Whether a big company already has a famous product like it
C. Whether other people have the same problem and spend on it
D. Whether her own problem bothers her a lot

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q2
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CUST.01 (local)

Learn
A good business idea starts with a real problem. A real problem happens often, matters to the person, and is something they already spend time or money trying to solve. "People might like this" is weak. "Parents in my neighborhood drive 30 minutes twice a week to a tutor" is strong, because it describes a costly habit that already exists. Look for complaints, workarounds (homemade fixes), and money already being spent.

A problem is frequent and annoying, but free tools already solve it well. What is the main thing to learn next?

A. How to make the free tools stop working well for people
B. Why someone would choose a paid option over the free ones
C. Whether the problem is frequent
D. Whether the problem exists at all in this market

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q3
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CUST.01 (local)

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Which piece of information is MISSING before deciding a problem is worth solving? The problem is frequent and people complain about it.

A. Whether people already spend time or money to fix it
B. Whether the founder enjoys thinking about it every day
C. Whether the problem was in the news this year
D. Whether the problem has a catchy name for marketing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q4
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CUST.01 (local)

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A student found that dorm residents lose keys often. Replacing a key costs 25 dollars and happens to about 40 residents per term. What total amount do residents spend on replacements each term?

A. 40 dollars
B. 65 dollars
C. 250 dollars
D. 1,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S5-F2-Q5
Entrepreneurship, Set 5: Finding a real customer problem · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.01 (local)

Set 6: Naming a specific customer

Outcome ENT.CUST.02: Describe a specific customer group instead of "everyone"

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
"Everyone" is not a customer. A specific customer is a group you can describe and find: who they are, what situation they are in, and where they can be reached. "Busy people" is too broad. "Parents of children ages 6 to 10 who both work full time in our town" is specific. A specific customer helps you choose words, prices, and places to advertise. You can widen the group later, after you learn what works for the first group.

Which customer description is the most specific?

A. Small businesses of every kind everywhere in the whole world
B. Anyone in Texas who might want to buy things
C. People who like food and eat out sometimes
D. Owners of food trucks in Austin who take card payments

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q1
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q1/5 · Outcome ENT.CUST.02 (local)

Learn
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Why does a specific customer group help a new business?

A. It guides words, prices and where to advertise.
B. It guarantees that every customer will buy at once.
C. It removes the need to test the idea with anyone.
D. It means the business can never sell to others later.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q2
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q2/5 · Outcome ENT.CUST.02 (local)

Learn
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Rewrite "busy people" as a more specific customer. Which is best?

A. All adults who have jobs in any kind of field
B. Nurses working night shifts who have little time to cook
C. Busy people who use the internet every single day for work
D. People who are busy and want things to be easier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q3
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q3/5 · Outcome ENT.CUST.02 (local)

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A tutor writes, "My customers are students." What detail would make this most useful?

A. Students who like learning new things at school every week
B. Students who have smartphones and laptops
C. High-school juniors preparing for a specific math exam
D. Students of any age anywhere in the country

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q4
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q4/5 · Outcome ENT.CUST.02 (local)

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Which detail helps you FIND a specific customer group?

A. How many hours they usually sleep each night of the week
B. Their favorite color, if it is known
C. Whether they like your logo design
D. Where they gather, such as a local parents' group

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-M-Q5
Entrepreneurship, Set 6: Naming a specific customer · MAIN · Q5/5 · Outcome ENT.CUST.02 (local)

Learn
Narrowing works in steps. Start with "people who need meals." Add a situation: "people who need meals after surgery." Add a place: "in our city." Add who decides: "usually a family member who orders." Each step removes people who are unlikely to buy and keeps the ones with a clear need. A narrow group is not small thinking; it is a clear target you can actually reach and serve well.

Which step narrows "people who need meals" by situation?

A. People who eat food
B. People recovering from surgery
C. People who live on planet Earth
D. People who like meals

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q1
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CUST.02 (local)

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Which step narrows a group by place?

A. In our city
B. Who order online
C. Who are adults
D. Who like good food

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q2
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.02 (local)

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Why narrow the customer group?

A. To find people with a clear need you can reach
B. To make all prices higher automatically for every buyer
C. To avoid all marketing
D. To sell to fewer people forever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q3
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CUST.02 (local)

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"Family members ordering meals for someone after surgery in our city." How many narrowing steps does it include beyond "people"?

A. One: only the city
B. None at all
C. Three: situation, place and who orders
D. Ten different steps, one for each word in it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q4
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CUST.02 (local)

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Which group is narrower?

A. People who have some animals living nearby them
B. Pet owners
C. Dog owners
D. Dog owners in one apartment complex who work late

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-B1-Q5
Entrepreneurship, Set 6: Naming a specific customer · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CUST.02 (local)

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Ray sells a scheduling tool. He can afford to reach only one group first. Which group is best to start with?

A. Independent hair stylists who book clients by text
B. Anyone who owns a smartphone in the country
C. People who think calendars are useful
D. All businesses that have any kind of schedule at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q1
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CUST.02 (local)

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Iris makes gluten-free cupcakes. Which first customer group best fits her product?

A. Anyone who likes eating sweet desserts on the weekends
B. Restaurants of every type
C. People who prefer salty snacks
D. Parents planning parties for children who cannot eat gluten

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q2
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CUST.02 (local)

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A fitness coach targets "people who want to be healthy." Signups are low. What change is most likely to help?

A. Charge the same price but add more fonts and colors
B. Target "everyone who breathes"
C. Focus on new parents who want 20-minute home workouts
D. Remove all descriptions of who it is for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q3
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Which detail matters MOST when choosing a customer group for a home-repair service?

A. Renters whose landlord fixes everything
B. Homeowners nearby who cannot do repairs themselves
C. People who live far outside the area the service covers
D. People who watch home TV shows

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q4
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A group has 2,000 people. A business expects 1 out of every 100 to buy. How many buyers is that?

A. 2
B. 20
C. 100
D. 200

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F1-Q5
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A seller picked "left-handed violinists in one small town." There are about 5 of them. What is the main risk?

A. The group may be too small to support the business.
B. The group is perfect because narrow is always better.
C. The group is too broad to reach at all.
D. The group must be wrong because violinists exist everywhere.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q1
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CUST.02 (local)

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A founder describes her customer clearly but has not spoken to any of them. What should she do next?

A. Talk to several people in that group to confirm the need
B. Build the full product right away
C. Pay for a large ad campaign immediately
D. Widen the group to everyone living anywhere in her state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q2
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Two possible groups for a laundry pickup service: students in one dorm (300 people, no cars, no convenient laundry in the building) or families in a suburb (3,000 people, most have washers). The goal is a quick first test. Which is the better first group?

A. Neither, because laundry is not a real need

B. The dorm students, because they lack easy laundry and cars and are close together

C. Both at once, to cover every possible customer

D. The suburb families, because their number is ten times larger than the dorm

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q3
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A business sells to small offices, but the person who uses the product is not the person who pays. Which detail should the customer description include?

A. The color of the office walls
B. What music the users like to listen to while they work
C. Who makes the buying decision in the office
D. How many windows the office has

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q4
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CUST.02 (local)

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A group of 500 customers each buy once a month and spend 12 dollars. If 10 percent of them become your customers, what are your expected monthly sales?

A. 600 dollars
B. 50 dollars
C. 60 dollars
D. 6,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S6-F2-Q5
Entrepreneurship, Set 6: Naming a specific customer · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.02 (local)

Set 7: Writing a clear offer

Outcome ENT.CUST.03: Write an offer (value proposition) that says who it is for, the problem and the result

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
An offer (also called a value proposition) says, in plain words, who it is for, what problem it solves, and what result the customer gets. A simple pattern: "For [customer] who [problem], we [what you do] so you can [result]." For example: "For busy pet owners who work late, we walk your dog at lunch so it gets exercise and you do not rush home." A clear offer is specific, honest and easy to repeat. It avoids vague phrases like "best quality" that do not say what the customer gets.

Which offer is the clearest?

A. Our company has many years of fitness experience in sports.
B. We offer the very best fitness services and the highest quality for all of you.
C. Fitness for everyone, everywhere, always, at great prices.
D. For new runners, we create 8-week plans to help you finish your first 5K.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q1
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q1/5 · Outcome ENT.CUST.03 (local)

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What three parts should a clear offer include?

A. A slogan, a logo, and a list of the owner's hobbies
B. The customer, the problem, and the result they get
C. A discount, a deadline, and a free gift for every buyer
D. The founding date, the address, and the office hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q2
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q2/5 · Outcome ENT.CUST.03 (local)

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Why is "best quality cleaning" a weak offer?

A. It mentions cleaning, which customers usually find very boring.
B. It does not say who it is for or what result they get.
C. It is too short to be shown on a sign or website.
D. It is illegal to describe a service as good.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q3
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q3/5 · Outcome ENT.CUST.03 (local)

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Fill in the pattern for a meal-prep business: "For ___ who ___, we ___ so you can ___." Which is best?

A. Customers / want some food / have a kitchen at home / pay us money today

B. Our team / loves cooking / make meals / buy from us

C. Everyone / is hungry / sell food / be happy

D. Night-shift nurses / have no time to cook / deliver ready meals / eat well at work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q4
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q4/5 · Outcome ENT.CUST.03 (local)

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Which phrase states a RESULT for the customer?

A. so your taxes are filed on time without stress
B. we use the latest accounting software
C. our accountants have many certificates on the wall
D. we are open on weekdays until five

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-M-Q5
Entrepreneurship, Set 7: Writing a clear offer · MAIN · Q5/5 · Outcome ENT.CUST.03 (local)

Learn
An offer answers three questions a customer silently asks: "Is this for me?", "Does it fix my problem?", and "What will I get?" Think of a sign at a car wash: "Busy commuters: get your car washed in 10 minutes while you wait for coffee." It tells who (busy commuters), the problem (no time) and the result (a clean car in 10 minutes). If a sign only says "Quality car care," the customer cannot answer any of the three questions.

In "Busy commuters: car washed in 10 minutes," who is the customer?

A. The coffee shop
B. The car wash owner
C. Busy commuters
D. The cars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q1
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CUST.03 (local)

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In the car wash sign in the passage, what is the result?

A. Quality car care for everyone
B. Coffee
C. A clean car in 10 minutes
D. Busy commuters

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q2
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.03 (local)

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Which question does an offer help a customer answer?

A. "Is this for me?"
B. "What year was the company founded?"
C. "Who designed the logo?"
D. "What is the owner's favorite food?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q3
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Which sign answers all three questions?

A. Diapers and more since 2010
B. Quality products for families who shop with us every week
C. New parents: we deliver diapers within 2 hours when you run low
D. The best store in town

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q4
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CUST.03 (local)

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"Quality car care" fails to tell the customer what?

A. Who it is for, what problem it fixes, or what they get
B. Where the owner went to school
C. That the business washes cars at all for customers
D. The price of every service

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-B1-Q5
Entrepreneurship, Set 7: Writing a clear offer · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CUST.03 (local)

Learn
An offer (also called a value proposition) says, in plain words, who it is for, what problem it solves, and what result the customer gets. A simple pattern: "For [customer] who [problem], we [what you do] so you can [result]." For example: "For busy pet owners who work late, we walk your dog at lunch so it gets exercise and you do not rush home." A clear offer is specific, honest and easy to repeat. It avoids vague phrases like "best quality" that do not say what the customer gets.

A dog groomer's website says "Pampering pets with love." She mainly serves large dogs that are anxious at busy salons. Which rewrite is best?

A. The best grooming in the entire state of Ohio
B. Calm, one-on-one grooming for large, nervous dogs, with no waiting room
C. Grooming since 2015 with many happy tails
D. Pampering all pets with even more love and care every single day

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q1
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CUST.03 (local)

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A bookkeeper's draft offer: "We do numbers." Which addition helps most?

A. More exclamation marks to show excitement
B. A bigger logo at the top of the page
C. Who she serves and what result they get, like on-time monthly records
D. A longer list of her favorite software brands and computer tools

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q2
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CUST.03 (local)

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Which offer is honest AND clear for a new tutor with no results data yet?

A. The top-rated tutor in the whole country, according to everyone who knows
B. Guaranteed A grades for every student who signs up
C. Tutoring that is simply better than all the others
D. For 7th graders behind in fractions: weekly 1-on-1 practice with a written plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q3
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CUST.03 (local)

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Two offers for a cleaning service. A: "Spotless homes." B: "For renters moving out: a deposit-ready clean in one day." The owner wants more move-out jobs. Which fits that goal?

A. Both are the same, because both mention cleaning
B. Neither, because offers do not affect bookings
C. Offer B, because it names move-out renters
D. Offer A, because shorter is always better

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q4
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CUST.03 (local)

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Which phrase should be removed from an offer because it cannot be checked?

A. "with a written quote first"
B. "in 48 hours"
C. "for small restaurants"
D. "the world's best"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F1-Q5
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CUST.03 (local)

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An offer promises "results in 24 hours," but the owner usually needs 3 days. What is the best fix?

A. Keep the promise and apologize later
B. Promise even faster results so she can beat her competitors
C. Remove all timing so customers cannot complain
D. Change the promise to match the real delivery time

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q1
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CUST.03 (local)

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A founder wrote a clear offer but has no idea if customers care about the stated result. What should she check?

A. Whether target customers say that result matters to them
B. Whether her family likes the wording
C. Whether the sentence has a nice rhythm when read aloud
D. Whether the font matches her logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q2
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CUST.03 (local)

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A web designer serves both restaurants and law firms with very different needs. One offer for both sounds vague. What is a sensible approach?

A. Stop serving one of the groups without checking demand
B. Keep one vague offer to cover everyone
C. Write a separate clear offer for each customer group
D. Remove all mention of who the service is for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q3
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CUST.03 (local)

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A competitor's offer is "fast delivery." Yours is the same. What should you check before deciding how to stand out?

A. How to copy the competitor's logo
B. What else your customers care about that you do well
C. Whether to remove delivery from your offer completely
D. How to claim you are faster without proof

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q4
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CUST.03 (local)

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Which offer could mislead customers?

A. "Doctor-approved" when no doctor has reviewed the product
B. "Includes a printed instruction sheet" when it really does
C. "Ships within 2 business days" when it does
D. "For runners training for a first marathon"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S7-F2-Q5
Entrepreneurship, Set 7: Writing a clear offer · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.03 (local)

Set 8: Customer or user: who pays?

Outcome ENT.CUST.04: Tell the paying customer from the user and the decision-maker

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

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The CUSTOMER is the person or organization who pays. The USER is the person who uses the product or service. Sometimes they are the same; sometimes they are different. A parent pays for a child's piano lessons; the child is the user. A company pays for software its workers use. There may also be a DECISION-MAKER who chooses, like a manager who approves a purchase. To sell well, you must convince whoever pays and decides, while also making the product work for the user.

A school pays for a reading app that students use. Who is the paying customer?

A. The students who use the app every day
B. The app's designers who built the screens
C. The parents who never see the bill
D. The school

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q1
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q1/5 · Outcome ENT.CUST.04 (local)

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A dog-walking service. Who are the user and the customer?

A. The park is the customer and the owner is the user.
B. The walker is both the user and the customer here.
C. The dog uses the walks; the owner pays.
D. The owner uses the walks; the dog pays for them.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q2
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q2/5 · Outcome ENT.CUST.04 (local)

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A manager must approve any new software her team uses. What is the manager's role?

A. The decision-maker
B. The competitor of the software company
C. The supplier of the software to the business
D. The user, since the manager tests the software daily

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q3
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q3/5 · Outcome ENT.CUST.04 (local)

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Why does it matter that the customer and user can be different?

A. It means you never need to talk to customers.
B. It means only the payer matters when designing the product.
C. It means only the user matters for sales.
D. You must persuade the payer while serving the user.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q4
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q4/5 · Outcome ENT.CUST.04 (local)

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A grandparent buys a video game for a grandchild. Who is the user?

A. The grandparent who paid for the game
B. The store clerk who rang up the sale
C. The grandchild
D. The game company that made the game

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-M-Q5
Entrepreneurship, Set 8: Customer or user: who pays? · MAIN · Q5/5 · Outcome ENT.CUST.04 (local)

Learn
Ask two questions about any sale: "Whose money pays for it?" and "Who actually uses it?" For a child's soccer camp, a parent's money pays and the child uses it. For a coffee you buy for yourself, the same person pays and uses. For office chairs, the company pays and the workers sit in them. Write down both answers every time; they guide who you talk to and what you build.

For a child's soccer camp, whose money pays?

A. The child's
B. The coach's
C. The field owner's
D. The parent's

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q1
Entrepreneurship, Set 8: Customer or user: who pays? · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CUST.04 (local)

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You buy a coffee for yourself. Who is the user?

A. You
B. The café owner
C. The coffee farmer
D. The barista

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q2
Entrepreneurship, Set 8: Customer or user: who pays? · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CUST.04 (local)

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A company buys office chairs. Who uses them?

A. The chair maker
B. The workers
C. The bank
D. The delivery driver

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q3
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Which two questions separate customer and user?

A. "Who pays?" and "Who uses it?"
B. "Who built it?" and "Who sold it?"
C. "When?" and "Where?"
D. "What color?" and "What size?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q4
Entrepreneurship, Set 8: Customer or user: who pays? · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CUST.04 (local)

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A pet owner buys a cat toy. Who is the customer?

A. The pet store's landlord
B. The cat
C. The pet owner
D. The toy factory

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-B1-Q5
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Lia sells an after-school coding club. Kids love it, but few sign up. Who should her marketing mainly speak to?

A. Kids only, since they enjoy the club most
B. Other coding clubs nearby
C. Teachers, since they grade homework
D. Parents, who pay and decide

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q1
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A company's IT manager approves software, but sales staff use it. Which feedback is MOST important when improving daily ease of use?

A. Feedback from the CEO's family

B. Feedback from the sales staff who use it daily

C. Feedback only from the IT manager

D. Feedback from a competitor's customers in another town

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q2
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A senior-care service is used by older adults, but adult children usually pay. Which detail should the website make clear for the payers?

A. A long history of the company's logo
B. The owner's favorite movies
C. Safety, schedules and how they will be kept informed
D. Games the care staff like to play on their breaks

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A dentist's office buys a booking tool. The receptionist uses it; the dentist pays. The receptionist says it is confusing. What is the risk to the seller?

A. The receptionist will become the payer
B. The office may cancel if the daily user struggles.
C. The tool will start working better by itself over time
D. No risk, because the dentist already paid

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q4
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A toy costs 30 dollars. A parent buys 2 for twins. How much does the customer pay?

A. 60 dollars
B. 30 dollars
C. 32 dollars
D. 15 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F1-Q5
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A small business owner pays for payroll software, the accountant recommends it, and staff use it. Who has the final say on buying?

A. The owner, who pays and approves the purchase

B. The staff, because they use it

C. The software's salesperson

D. The accountant, because she was the one who suggested it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q1
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A seller pitches only to users, who love the product, but no one buys. Which detail is most likely missing?

A. A longer company history page
B. A brighter product color
C. Convincing the person who controls the budget
D. More features that the users did not ask for

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q2
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A grant program pays for students' summer classes, and the students choose the class. Who is the paying customer?

A. The school building

B. The teacher

C. The grant program

D. The students

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q3
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Before writing a sales message, what should a business check first in a new market?

A. What price ends in .99
B. Which font is most popular this year
C. How many likes competitors get
D. Who pays, who decides, and who uses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q4
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A daycare charges 200 dollars a week per child. A family enrolls 2 children for 4 weeks. How much does the family pay?

A. 1,600 dollars

B. 400 dollars

C. 800 dollars

D. 206 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S8-F2-Q5
Entrepreneurship, Set 8: Customer or user: who pays? · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CUST.04 (local)

Set 9: Founder case: Spanx and a problem the founder had

Outcome ENT.CASE.02: Apply a documented early decision (solving a problem you have and checking that others share it) to a new business

Module: Foundation 2: Customers and offers

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history: Sara Blakely cut the feet off control-top pantyhose to wear under white pants. She started Spanx in 2000 with $5,000 of her own savings. Several hosiery manufacturers turned her down before one agreed to make the product, and she got it into the Neiman Marcus department store. Lesson drawn by this course (an interpretation, not her words): a problem you have yourself can be a starting point, but you still need evidence that many others share it and will buy. One success story does not guarantee the same result.

According to the passage, what problem did Blakely start with?

A. She wanted to open a factory for making fabric.
B. She wanted cheaper shoes for running on trails.
C. She wanted a new kind of store for selling dresses.
D. She wanted a smooth look under white pants.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q1/5 · Outcome ENT.CASE.02 (local)

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How much of her own money does the passage say she started with?

A. $5,000
B. No money at all, only loans
C. $50,000
D. $500

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q2/5 · Outcome ENT.CASE.02 (local)

Learn
Documented history: Sara Blakely cut the feet off control-top pantyhose to wear under white pants. She started Spanx in 2000 with $5,000 of her own savings. Several hosiery manufacturers turned her down before one agreed to make the product, and she got it into the Neiman Marcus department store. Lesson drawn by this course (an interpretation, not her words): a problem you have yourself can be a starting point, but you still need evidence that many others share it and will buy. One success story does not guarantee the same result.

Which lesson does this course draw?

A. Your own problem always proves a large market exists for it.
B. Big stores accept every new product quickly.
C. Manufacturers always say yes to new ideas.
D. Your own problem can be a start, but check that others share it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q3/5 · Outcome ENT.CASE.02 (local)

Learn
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Theo is annoyed that his bike lock is heavy. Applying the lesson, what should he do first?

A. Assume every cyclist feels exactly as he does about heavy locks
B. Order 5,000 lighter locks today
C. Ask other cyclists whether heavy locks bother them and what they use
D. Wait until a manufacturer calls him

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q4/5 · Outcome ENT.CASE.02 (local)

Learn
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Which statement about this case is accurate?

A. Her success guarantees others the same result.
B. Rejections came before a manufacturer agreed.
C. She started with a large outside investment.
D. The first manufacturer she asked said yes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-M-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · MAIN · Q5/5 · Outcome ENT.CASE.02 (local)

Learn
Your own problem is a clue, not proof. If you are frustrated by something, ask: do many other people have this same frustration, and do they spend money on it? One person is a sample of one. A market is many people with the same need who will pay. You find out by asking others about their experience and by testing whether they will buy, not by assuming they feel what you feel.

Your own frustration with a product is best described as what?

A. A clue worth checking
B. A guarantee of sales
C. Proof of a large market
D. A finished business plan

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.02 (local)

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What is a market, in plain words?

A. A building where products are sold
B. One person with a strong opinion
C. A list of your friends' favorite things to buy
D. Many people with the same need who will pay

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.02 (local)

Learn
Your own problem is a clue, not proof. If you are frustrated by something, ask: do many other people have this same frustration, and do they spend money on it? One person is a sample of one. A market is many people with the same need who will pay. You find out by asking others about their experience and by testing whether they will buy, not by assuming they feel what you feel.

How do you check whether others share your problem?

A. Ask other people about their experience
B. Assume they all feel exactly the same as you do
C. Design a logo first
D. Buy inventory first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.02 (local)

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A "sample of one" means what?

A. Evidence from only one person
B. A product that sells once
C. A free sample given to one customer
D. A test with a thousand people

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.02 (local)

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Your own problem is a clue, not proof. If you are frustrated by something, ask: do many other people have this same frustration, and do they spend money on it? One person is a sample of one. A market is many people with the same need who will pay. You find out by asking others about their experience and by testing whether they will buy, not by assuming they feel what you feel.

Which shows that others share a problem?

A. You personally feel very strongly about it
B. Many people describe it and already pay for fixes
C. Your friend nods politely
D. The idea sounds clever

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-B1-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.02 (local)

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Ana hates that her reusable water bottle leaks in her bag. Which first step best applies the lesson?

A. Post a logo and wait for orders
B. Ask only her mother whether bottles leak
C. Buy a bottle factory before telling anyone about the idea
D. Survey commuters about leaking bottles and what they do now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.02 (local)

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Ken's own frustration is finding parking at the gym. He asks 30 gym members, and 25 say it bothers them. What fraction said it bothers them?

A. 25 out of 100

B. 30 out of 25

C. 25 out of 30, which is about 83 percent

D. 5 out of 30, which is about 17 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.02 (local)

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Mei solved her own problem (tangled earbuds) with a clip. Ten friends tried it and liked it, but none would pay. What does this suggest?

A. Her friends' approval proves a market.
B. She should give up all ideas forever.
C. Liking it is not the same as paying; she needs more evidence.
D. She should order thousands of clips from a factory today.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.02 (local)

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Which plan follows the lesson with the least money at risk?

A. Order 10,000 units at a low bulk price
B. Make 20 samples and try selling them at one market
C. Sign a contract with a national store chain first
D. Hire a sales team before any sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.02 (local)

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Which description separates the documented fact from the lesson?

A. Fact: she started with $5,000 of savings. Lesson: check others share your problem.

B. Fact: she copied a competitor. Lesson: copying always works.

C. Fact: she had no rejections. Lesson: never ask for feedback.

D. Fact: everyone loves her product today. Lesson: using savings guarantees success.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F1-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.02 (local)

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Ben copies the "use my own savings" idea, but his savings are also his emergency fund for rent. What should he check first?

A. Whether savings are always better than loans for founders
B. Whether his logo is ready
C. Whether the founder used $5,000
D. How much he can spend without risking his living costs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q1
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.02 (local)

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A product solved the founder's problem, but the founder's situation is unusual (very tall, needing special clothing). What is the main risk in assuming a large market?

A. Unusual problems always make the best businesses.
B. Tall people never buy clothing at all.
C. There is no risk if the product works.
D. Few other people may share the unusual problem.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q2
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.02 (local)

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Several manufacturers reject Pia's product. Using the case wisely, what should she do?

A. Stop immediately, because one round of rejections ends any idea for good

B. Ask why they said no, improve or adjust, and keep looking if the evidence supports it

C. Ignore their reasons and send the same pitch again

D. Assume rejection means guaranteed success later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q3
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.02 (local)

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A big store accepted Spanx. A new founder wants to skip testing and go straight to big stores. What is the main problem?

A. Without evidence of demand, big stores are unlikely to accept or reorder.
B. Big stores accept every new product.
C. There is no problem at all, because the case proves that it works.
D. Skipping tests always saves money in the end.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q4
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.02 (local)

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What is the most accurate takeaway from a single founder story?

A. It is useless because conditions differ.
B. It proves that the founder's exact steps caused her later success.
C. It shows one path and decisions to consider, not a guaranteed formula.
D. It is a formula that works for every product.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S9-F2-Q5
Entrepreneurship, Set 9: Founder case: Spanx and a problem the founder had · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.02 (local)

Set 10: Customer interviews about past behavior

Outcome ENT.TEST.01: Plan interview questions about what people already do rather than what they say they would do

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A customer interview is a short conversation to learn about someone's real problems. The most useful questions ask about what people already DID, not what they say they WOULD do. "Tell me about the last time you looked for a babysitter" gives real facts: how long it took, what they paid, what went wrong. "Would you use my babysitting app?" invites polite guesses. Past behavior is better evidence than predictions, because people are often too kind or too hopeful about the future.

Which interview question gives the most reliable information?

A. Would you hire a tutor if I offered one next year?
B. Do you think tutoring is a good idea for most kids?
C. How much would you be willing to pay for my service?
D. When did you last hire a tutor, and how did you find one?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q1/5 · Outcome ENT.TEST.01 (local)

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Why are questions about the future weaker evidence?

A. People cannot remember anything about the past.
B. Future answers are always negative and unhelpful.
C. People often guess kindly or hopefully.
D. Future questions are against interview rules.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q2/5 · Outcome ENT.TEST.01 (local)

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Which question asks about past behavior?

A. Do you like the idea of tracking every expense?
B. What did you use last month to track your expenses?
C. Will you track expenses better next year, do you think?
D. Would you download an expense app if it were free?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q3
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An interviewer hears, "I spent 3 hours last week calling movers." What kind of information is this?

A. A real past cost of the problem
B. An opinion about the interviewer's idea
C. Proof that a moving business will succeed
D. A promise to buy from the interviewer soon

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q4
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q4/5 · Outcome ENT.TEST.01 (local)

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What should an interviewer mostly do?

A. Talk about the product as much as possible
B. Listen and ask follow-up questions
C. Ask only yes-or-no questions to save time
D. Argue when the person disagrees with the idea

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-M-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · MAIN · Q5/5 · Outcome ENT.TEST.01 (local)

Learn
Compare two questions about gyms. "Would you go to the gym three times a week?" Most people say yes, even if they rarely go. "How many times did you go to the gym last week?" gets a real number. The first question measures hope. The second measures behavior. When you test a business idea, behavior is what pays the bills, so ask "did" questions whenever you can.

"How many times did you go to the gym last week?" asks about what?

A. Past behavior
B. A price
C. A future plan
D. An opinion

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.01 (local)

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"Would you go to the gym three times a week?" mostly measures what?

A. The gym's price
B. The person's age
C. Exact past behavior
D. Hope or intention

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.01 (local)

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Which word usually signals a past-behavior question?

A. "would"
B. "could"
C. "did"
D. "might"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q3
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.01 (local)

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Which answer is behavior, not hope?

A. "I might start next month."
B. "I plan to go every day."
C. "I would love to go more."
D. "I went twice last week."

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q4
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.01 (local)

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Rewrite "Would you buy healthy snacks?" as a "did" question. Which is best?

A. "Would you like healthy snacks?"
B. "What snacks did you buy this week?"
C. "Do you agree snacks matter?"
D. "Might you buy snacks soon?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-B1-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.01 (local)

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A founder plans a meal-kit service. Which question set is best?

A. Do you think meal kits are a smart idea for families?
B. How great would it be to never cook again, in your view?
C. What did you eat for dinner last night, and how did you decide?
D. Would you buy meal kits every week if they were tasty?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.01 (local)

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After the person says, "Finding a plumber was a nightmare last month," what is the best follow-up?

A. What made it hard, and what did you end up doing?
B. Can I sign you up for my newsletter now?
C. Do you agree plumbers are usually expensive?
D. Would you use my plumber app instead?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.01 (local)

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A founder interviewed 10 people. 9 said they "would definitely use" her app; 2 have ever paid for a similar tool. Which number is more meaningful?

A. The 9 who said they would definitely use it
B. The 2 who have paid for a similar tool
C. Both are equally meaningful for the decision
D. Neither, because interviews never help at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q3
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Which interview goal is most useful early on?

A. Show off every feature you have planned
B. Get each person to praise the idea
C. Learn how people handle the problem today
D. Convince each person to buy before they leave

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q4
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A founder asks 12 people about their last moving day. 8 say they hired help. What fraction hired help?

A. 2/3
B. 3/4
C. 8/20
D. 1/2

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F1-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.01 (local)

Learn
A customer interview is a short conversation to learn about someone's real problems. The most useful questions ask about what people already DID, not what they say they WOULD do. "Tell me about the last time you looked for a babysitter" gives real facts: how long it took, what they paid, what went wrong. "Would you use my babysitting app?" invites polite guesses. Past behavior is better evidence than predictions, because people are often too kind or too hopeful about the future.

A founder interviewed only her close friends, who all loved the idea. What is the main problem?

A. Friends always lie about everything.
B. Interviews should never include friends at all.
C. Ten friends is always enough evidence.
D. Friends may be kind and may not be typical customers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q1
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.01 (local)

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People describe a problem in detail but have never tried to fix it. What should the founder check next?

A. Whether to build the full product now
B. Whether they liked the interviewer
C. Whether the problem matters enough that they would pay to fix it
D. Whether their answers were long enough to fill the notes page

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q2
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.01 (local)

Learn
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A founder keeps explaining her app during interviews, and people keep saying "sounds great." What is the most likely issue?

A. People truly love the app.
B. Interviews do not work for apps.
C. The founder should talk even more about the app's features.
D. Pitching is pushing people toward polite agreement.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q3
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.01 (local)

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Which piece of information should an interview try to uncover about the current solution?

A. Whether they would recommend you to a friend someday
B. What it costs them in time or money now
C. Their opinion of the founder's logo
D. Their favorite color for the product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q4
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.01 (local)

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An interviewer records answers from 15 people. 6 already pay for a similar service at 20 dollars a month. What is the total those 6 already spend each month?

A. 26 dollars

B. 20 dollars

C. 300 dollars

D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S10-F2-Q5
Entrepreneurship, Set 10: Customer interviews about past behavior · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.01 (local)

Set 11: Avoiding leading questions

Outcome ENT.TEST.02: Recognize and rewrite leading or yes-pushing interview questions

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A leading question pushes a person toward a particular answer. "Don't you hate waiting for the bus?" pushes toward yes. "Wouldn't it be great to have an app for that?" pushes toward praise. A neutral question lets the person answer honestly: "How do you usually get to work?" or "What, if anything, bothers you about your commute?" Leading questions make an idea look better than it is. Neutral questions, about real experience, make the results trustworthy.

Which question is leading?

A. How often do you eat homemade baked goods each month?
B. Don't you think our cookies taste better than store-bought ones?
C. Where do you usually buy desserts for family events?
D. What kind of cookies did you buy last time you shopped?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q1
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q1/5 · Outcome ENT.TEST.02 (local)

Learn
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Which is a neutral version of "Wouldn't a faster laundry service be great?"

A. You would use a faster service, right?
B. Isn't slow laundry the worst thing in the world?
C. How do you handle laundry now?
D. Wouldn't you love never doing laundry again?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q2
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q2/5 · Outcome ENT.TEST.02 (local)

Learn
A leading question pushes a person toward a particular answer. "Don't you hate waiting for the bus?" pushes toward yes. "Wouldn't it be great to have an app for that?" pushes toward praise. A neutral question lets the person answer honestly: "How do you usually get to work?" or "What, if anything, bothers you about your commute?" Leading questions make an idea look better than it is. Neutral questions, about real experience, make the results trustworthy.

Why do leading questions cause problems in testing?

A. They make people refuse to answer anything.
B. They are always against the law to use.
C. They take too long to ask in an interview.
D. They make the idea look better than it really is.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q3
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q3/5 · Outcome ENT.TEST.02 (local)

Learn
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Which word pattern often signals a leading question?

A. Starting with "What" or "How"
B. Asking about last week
C. Starting with "Don't you..." or "Wouldn't it..."
D. Asking how often something happens in a normal month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q4
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q4/5 · Outcome ENT.TEST.02 (local)

Learn
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Which question is neutral?

A. Wouldn't online booking solve all your problems?
B. You hate waiting for haircuts too, right?
C. Isn't booking a haircut really frustrating these days?
D. What, if anything, frustrates you about booking a haircut?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-M-Q5
Entrepreneurship, Set 11: Avoiding leading questions · MAIN · Q5/5 · Outcome ENT.TEST.02 (local)

Learn
Picture two ways to ask about a restaurant. "The food was amazing, wasn't it?" is a push: the polite answer is yes. "How was the food?" is an open door: the person can say anything. Leading questions often include the answer you hope for, or words like "right?", "don't you", or "wouldn't it". An open door question asks "what", "how", or "when" and lets the person choose their own words.

"The food was amazing, wasn't it?" is what kind of question?

A. A push (leading)
B. A math question
C. An open door (neutral)
D. A yes-or-no fact check

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q1
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.02 (local)

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Which is an open-door question?

A. "Don't you love this place?"
B. "How was the food?"
C. "It was great, right?"
D. "Best meal ever, wasn't it?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q2
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.02 (local)

Learn
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Which ending word often turns a question into a push?

A. "when?"
B. "what?"
C. "right?"
D. "how?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q3
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.02 (local)

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Why do open-door questions help?

A. They make people buy faster.
B. They are shorter to write.
C. They always get a yes answer from almost everyone.
D. People can give their own honest answer.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q4
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.02 (local)

Learn
Picture two ways to ask about a restaurant. "The food was amazing, wasn't it?" is a push: the polite answer is yes. "How was the food?" is an open door: the person can say anything. Leading questions often include the answer you hope for, or words like "right?", "don't you", or "wouldn't it". An open door question asks "what", "how", or "when" and lets the person choose their own words.

Which question includes the hoped-for answer?

A. "What app did you use most last week?"
B. "When did you last delete an app?"
C. "How do you find new apps?"
D. "Isn't this the easiest app you've used?"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-B1-Q5
Entrepreneurship, Set 11: Avoiding leading questions · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.02 (local)

Learn
A leading question pushes a person toward a particular answer. "Don't you hate waiting for the bus?" pushes toward yes. "Wouldn't it be great to have an app for that?" pushes toward praise. A neutral question lets the person answer honestly: "How do you usually get to work?" or "What, if anything, bothers you about your commute?" Leading questions make an idea look better than it is. Neutral questions, about real experience, make the results trustworthy.

A survey for a dog-walking idea asks, "How much do you love the idea of a reliable dog walker?" Which rewrite is best?

A. Who walks your dog on days you work late?
B. Wouldn't a reliable walker make your life better?
C. How much do you REALLY love reliable dog walkers?
D. You agree dogs need walks, don't you?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q1
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.02 (local)

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Which survey answer choices are balanced?

A. Amazing / Great / Good / Pretty good / Okay
B. Good / Very good / Excellent
C. Very easy / Easy / Neither / Hard / Very hard
D. Love it / Like it a lot

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q2
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.02 (local)

Learn
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A founder asks, "Our price of 10 dollars is fair, isn't it?" What is a better question?

A. Isn't 10 dollars a great deal?
B. You'd pay 10 dollars happily for this, wouldn't you, right?
C. Don't you agree 10 dollars is cheap?
D. What have you paid for similar services before?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q3
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A survey has 5 positive answer options and 1 negative option. What is the likely effect?

A. Results will look more negative than real feelings.
B. Results will look more positive than people really feel.
C. People will refuse to finish the survey.
D. Results will be perfectly accurate.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q4
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.02 (local)

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Of 40 people asked a leading question, 36 said yes. Of 40 asked a neutral version, 14 said yes. How many more said yes to the leading version?

A. 22

B. 50

C. 36

D. 14

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F1-Q5
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A question names your product: "How useful is QuickClean for busy families?" What is the subtle problem?

A. There is no problem with this question.
B. It mentions families, which is never allowed in a survey question.
C. It assumes the product is useful and focuses on your idea.
D. It is too short to be clear.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q1
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.02 (local)

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Two surveys: A used leading questions and got 90 percent interest. B used neutral questions and got 30 percent. Which result should guide decisions?

A. Neither, because surveys are always useless
B. Survey B, because neutral questions are more trustworthy
C. Survey A, because higher interest is better news
D. The average of both, about 60 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q2
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.02 (local)

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A founder must survey customers quickly. Which approach best avoids leading?

A. Ask about recent behavior with balanced options
B. Skip neutral options to save space
C. Ask only questions that will make the idea look good
D. Tell people the answer you hope for first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q3
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Which question is neutral but still useful for pricing?

A. Wouldn't 50 dollars be a fair price?
B. Isn't our price lower than others?
C. You'd happily pay more for real quality, wouldn't you, right?
D. What did you pay the last time you hired this kind of help?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q4
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.02 (local)

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A founder realizes half her survey questions were leading. What should she do with the results?

A. Use all answers as if nothing were wrong
B. Report the leading results as proof of demand
C. Treat those answers with caution and re-ask neutrally if possible
D. Delete all of the results, including the answers to the neutral ones

REFERENCE LABEL: NOT PART OF THE QUESTION ID S11-F2-Q5
Entrepreneurship, Set 11: Avoiding leading questions · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.02 (local)

Set 12: Competitors and alternatives

Outcome ENT.TEST.03: Identify direct competitors and the other ways customers solve the problem today

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Competitors are businesses selling something similar to the same customers. Alternatives are any other way customers solve the problem today, including doing it themselves, using a free tool, or doing nothing. A lawn-care business competes with other lawn services, but also with homeowners who mow their own lawns. Studying competitors and alternatives shows what customers already accept, what they pay, and what they complain about. "No competition" usually means you have not looked hard enough, or that few people want it.

A new tutoring service. Which is an ALTERNATIVE but not a direct competitor?

A. A tutoring company with the same subjects
B. Parents helping with homework themselves
C. Another tutoring service in the same town
D. A tutor who teaches the same grade level

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q1
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q1/5 · Outcome ENT.TEST.03 (local)

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A founder says, "I have no competition." What is the most likely truth?

A. Competitors are not allowed in this market.
B. The idea is guaranteed to succeed without much effort or marketing.
C. Alternatives do not matter to customers at all.
D. Customers solve the problem some other way, or few want it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q2
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q2/5 · Outcome ENT.TEST.03 (local)

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What can competitor reviews teach a new business?

A. What customers like and complain about
B. That customers never switch businesses
C. Which competitors will close next month
D. Exactly how much profit competitors make

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q3
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q3/5 · Outcome ENT.TEST.03 (local)

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Which is a direct competitor to a mobile car-wash service?

A. Another business that washes cars at customers' homes
B. A car rental agency at the airport
C. A company that changes engine oil
D. A shop near the highway that sells car air fresheners

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q4
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q4/5 · Outcome ENT.TEST.03 (local)

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"Doing nothing" counts as an alternative because...

A. it is a business that charges money.
B. customers can choose to live with the problem.
C. customers are not allowed to do nothing.
D. it only applies to very large companies.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-M-Q5
Entrepreneurship, Set 12: Competitors and alternatives · MAIN · Q5/5 · Outcome ENT.TEST.03 (local)

Learn
Imagine you are hungry at lunch. You could buy from a restaurant (a direct competitor to a sandwich shop), bring food from home (an alternative), buy chips from a vending machine (another alternative), or skip lunch (doing nothing). A sandwich shop competes with ALL of these, not just other sandwich shops. Listing every way a customer could solve the problem shows what your offer must beat.

Bringing lunch from home is what, for a sandwich shop?

A. A direct competitor
B. A customer
C. An alternative
D. A supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q1
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.03 (local)

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Another sandwich shop next door is what?

A. A direct competitor
B. A partner
C. A supplier
D. An alternative only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q2
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.03 (local)

Learn
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Skipping lunch is which option?

A. A price
B. A direct competitor
C. A supplier
D. Doing nothing

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q3
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.03 (local)

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Why list all the alternatives?

A. To see what your offer must beat
B. To raise your prices
C. To copy every one of them
D. To avoid talking to customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q4
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.03 (local)

Learn
Imagine you are hungry at lunch. You could buy from a restaurant (a direct competitor to a sandwich shop), bring food from home (an alternative), buy chips from a vending machine (another alternative), or skip lunch (doing nothing). A sandwich shop competes with ALL of these, not just other sandwich shops. Listing every way a customer could solve the problem shows what your offer must beat.

A vending machine is what, for a sandwich shop?

A. A direct competitor selling sandwiches
B. An alternative
C. A customer
D. A supplier

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-B1-Q5
Entrepreneurship, Set 12: Competitors and alternatives · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.03 (local)

Learn
Competitors are businesses selling something similar to the same customers. Alternatives are any other way customers solve the problem today, including doing it themselves, using a free tool, or doing nothing. A lawn-care business competes with other lawn services, but also with homeowners who mow their own lawns. Studying competitors and alternatives shows what customers already accept, what they pay, and what they complain about. "No competition" usually means you have not looked hard enough, or that few people want it.

Reviews of three local cleaners mostly complain about missed appointments. What is the best use of this?

A. Assume customers do not care about timing
B. Copy their prices exactly and say nothing else about the service
C. Make reliable, on-time scheduling a clear part of your offer
D. Post negative reviews about them online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q1
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.03 (local)

Learn
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A founder lists competitor prices: 40, 45 and 50 dollars per session. What is their average price?

A. 40 dollars
B. 135 dollars
C. 50 dollars
D. 45 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q2
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.03 (local)

Learn
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Many homeowners mow their own lawns. A new lawn service wants customers who would rather pay. Which group is most promising?

A. Older homeowners or busy owners who find mowing hard to fit in

B. People who enjoy mowing as relaxing exercise

C. Apartment renters with no lawns at all

D. Owners who already bought brand-new riding mowers this year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q3
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TEST.03 (local)

Learn
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A free online tool already solves the problem. How can a paid product still compete?

A. Charge a higher price without offering anything extra to customers
B. Ask customers to stop using free tools
C. Pretend the free tool does not exist
D. Offer a clear benefit the free tool lacks, such as saved time or support

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q4
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.03 (local)

Learn
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Which competitor information is fair and useful to collect?

A. Fake customer calls pretending to be from a government office
B. Public prices, services and customer reviews
C. Their private customer list taken by a former employee
D. Their passwords guessed from public posts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F1-Q5
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.03 (local)

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A town has no dog groomers. Before celebrating, what should a founder check first?

A. Whether the founder enjoys bathing dogs
B. Whether people drive to groomers elsewhere or groom at home
C. Whether the town likes dogs in general
D. Whether a dog groomer logo would be easy and cheap to design

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q1
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.03 (local)

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Ten competitors sell the same product and many seem busy. What does this most likely show?

A. You should copy the busiest competitor exactly, down to the menu.
B. You are guaranteed to win if you join.
C. There is demand, but you will need a reason to be chosen.
D. There is no demand at all.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q2
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.03 (local)

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A founder plans to beat competitors only by being cheaper. What should be checked first?

A. Whether the lower price still covers costs and time
B. Whether competitors will thank him
C. Whether cheap prices always win every customer
D. Whether the cheaper price looks nice on a sign

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q3
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.03 (local)

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Which statement correctly describes competitor research?

A. It is only needed after launching.
B. It replaces talking to customers yourself.
C. It proves exactly how many customers you will get.
D. It shows what customers accept today, not a full prediction.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q4
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.03 (local)

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Competitors charge 60 dollars. You plan 48 dollars, 20 percent less. Your cost per job is 50 dollars. What happens on each job?

A. You earn 12 dollars per job.
B. You lose 2 dollars per job.
C. You earn 10 dollars per job.
D. You break exactly even.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S12-F2-Q5
Entrepreneurship, Set 12: Competitors and alternatives · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.03 (local)

Set 13: Testing a small version first

Outcome ENT.TEST.04: Choose a small, cheap test that answers one question about demand

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Before spending a lot, test a small version of the idea. A small test is cheap, quick, and answers one question, such as "Will people book a pet-sitting visit?" Examples: offering a service to a few customers, selling 20 handmade items at one market, a simple sign-up page, or a pre-order. A good test has a clear question, a small cost, a time limit, and a result you decide in advance would count as success. Testing first avoids building something large that nobody buys.

Which is the best small test for a homemade granola idea?

A. Design packaging for 20 flavors right away
B. Wait a year to perfect the recipe in private
C. Sell 30 bags at a weekend farmers market
D. Rent a factory to make 50,000 bags first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q1
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q1/5 · Outcome ENT.TEST.04 (local)

Learn
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What makes a test "good"?

A. A clear question, small cost, time limit and success target
B. Deciding what success means only after seeing all of the results
C. No time limit so it can run forever
D. A big budget so the results look impressive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q2
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q2/5 · Outcome ENT.TEST.04 (local)

Learn
Before spending a lot, test a small version of the idea. A small test is cheap, quick, and answers one question, such as "Will people book a pet-sitting visit?" Examples: offering a service to a few customers, selling 20 handmade items at one market, a simple sign-up page, or a pre-order. A good test has a clear question, a small cost, a time limit, and a result you decide in advance would count as success. Testing first avoids building something large that nobody buys.

A founder wants to know if people will pay for pet sitting. Which test answers that question?

A. Post a photo of a cute dog online
B. Ask friends if they like pets
C. Read several articles about the size of the pet industry
D. Offer paid visits to a few neighbors this month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q3
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q3/5 · Outcome ENT.TEST.04 (local)

Learn
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Why decide the success target BEFORE the test?

A. So you judge results honestly, not by hope
B. Because it makes the test cheaper to run
C. Because customers ask to see your target
D. Because targets can never be changed later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q4
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q4/5 · Outcome ENT.TEST.04 (local)

Learn
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A test cost 60 dollars and brought 4 paying customers. What was the cost per customer found?

A. 64 dollars
B. 15 dollars
C. 240 dollars
D. 4 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-M-Q5
Entrepreneurship, Set 13: Testing a small version first · MAIN · Q5/5 · Outcome ENT.TEST.04 (local)

Learn
Think of opening a lemonade stand before building a juice company. The stand costs little, runs one afternoon, and answers a real question: will people stop and pay? If yes, you learn prices and favorite flavors. If no, you lost a few dollars, not your savings. A small test is the smallest step that teaches you something true about customers. Big plans can come after small tests show promise.

Why is a lemonade stand a good test before a juice company?

A. It is the only way to sell drinks.
B. It guarantees the juice company will succeed.
C. It costs little and shows whether people pay.
D. It needs no customers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q1
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.04 (local)

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If the stand sells nothing, what did the owner lose?

A. A few dollars, not their savings
B. Everything they own
C. All future customers forever
D. Their right to start a business

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q2
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.04 (local)

Learn
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Which is a "smallest step" test for a tutoring idea?

A. Open a tutoring center with ten staff
B. Buy a building for classes
C. Write a 300-page textbook
D. Tutor two paying students for a month

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q3
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.04 (local)

Learn
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What does a successful small test give you?

A. Evidence to plan the next step
B. A guarantee of profit
C. Permission from the government
D. A finished company

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q4
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.04 (local)

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Which question could a one-day market stall answer?

A. Will my brand be famous worldwide?
B. Will every store carry my soap?
C. Will shoppers pay 6 dollars for my soap?
D. Will I be rich in ten years?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-B1-Q5
Entrepreneurship, Set 13: Testing a small version first · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.04 (local)

Learn
Before spending a lot, test a small version of the idea. A small test is cheap, quick, and answers one question, such as "Will people book a pet-sitting visit?" Examples: offering a service to a few customers, selling 20 handmade items at one market, a simple sign-up page, or a pre-order. A good test has a clear question, a small cost, a time limit, and a result you decide in advance would count as success. Testing first avoids building something large that nobody buys.

Question: "Will office workers pre-order healthy lunches for delivery?" Which test fits best?

A. Open a full restaurant downtown

B. Take pre-orders for one week from two nearby offices

C. Ask workers if they like salads

D. Buy a delivery van and hire a driver before any orders arrive

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q1
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.04 (local)

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A founder sets this target before a test: "At least 10 sign-ups from 100 visitors." The test gets 6 from 100. What should she conclude?

A. The test did not meet the target; rethink or adjust before scaling.
B. She should change the target to 5 now.
C. Tests never tell you anything useful.
D. The test succeeded, because 6 sign-ups is fairly close to 10 sign-ups.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q2
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.04 (local)

Learn
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Which test has the lowest cost for checking interest in a new online course?

A. Hiring a team of video editors to film every lesson
B. Buying a professional studio
C. A one-page description with a pre-sale or waitlist
D. Filming all 40 lessons first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q3
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.TEST.04 (local)

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A test should have a time limit. Which is reasonable for testing a weekend car-detailing offer?

A. Four weekends
B. No limit at all
C. Ten years
D. One minute

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q4
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.04 (local)

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A soap maker spent 90 dollars to make 30 bars and sold 20 at 6 dollars. How much money came in from sales?

A. 180 dollars
B. 26 dollars
C. 90 dollars
D. 120 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F1-Q5
Entrepreneurship, Set 13: Testing a small version first · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.04 (local)

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A test ran only during a holiday rush and sold out. What should the founder check before scaling up?

A. Whether holiday customers liked the colors
B. Whether sales hold up in a normal week
C. Whether to triple production at once
D. Whether to stop testing completely

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q1
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.04 (local)

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A founder gave away free samples and everyone took one. What did this test fail to show?

A. Whether people would pay
B. Whether the founder can make samples
C. Whether people like free things
D. Whether the samples were tasty

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q2
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.04 (local)

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Two tests asked the same neutral question under comparable conditions. Test A asked 200 prospective target customers recruited independently; Test B asked 10 close friends. Both had a 50 percent yes rate. Which result is more trustworthy?

A. Test B, because friends are honest

B. Neither, because tests never work

C. Both equally, because the yes rate is the same in each group

D. Test A, because the group is larger and less biased

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q3
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.04 (local)

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A test met its target, but each customer cost far more to find than they paid. What does this suggest?

A. Everything is fine; scale it now.
B. The price should be lowered further so that more customers sign up.
C. Demand may exist, but the way of finding customers needs to change.
D. Customers do not exist at all.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q4
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.04 (local)

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A test spent 200 dollars on ads and gained 5 customers who each pay 30 dollars once. What is the result?

A. It spent 50 dollars more than it brought in.

B. It made 200 dollars.

C. It broke exactly even.

D. It made 150 dollars of profit from the ads.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S13-F2-Q5
Entrepreneurship, Set 13: Testing a small version first · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.04 (local)

Set 14: Evidence of willingness to pay

Outcome ENT.TEST.05: Rank evidence of demand, with payments and pre-orders above opinions

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
The strongest evidence that people want something is that they pay for it, or commit money in advance. From strongest to weakest: real purchases; paid pre-orders or deposits; signed agreements; sign-ups that ask for real effort, such as booking a time; email sign-ups; and finally compliments, likes and "I would buy that." Each step down costs the person less, so it means less. When testing an idea, aim for evidence near the top: something people give up money or real effort to get.

Which is the strongest evidence of demand?

A. Fifty people liked a photo of the product online.
B. Ten customers paid a deposit to reserve a spot.
C. A hundred people visited the website once.
D. Twenty people said "I would buy that" at a party.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q1
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q1/5 · Outcome ENT.TEST.05 (local)

Learn
The strongest evidence that people want something is that they pay for it, or commit money in advance. From strongest to weakest: real purchases; paid pre-orders or deposits; signed agreements; sign-ups that ask for real effort, such as booking a time; email sign-ups; and finally compliments, likes and "I would buy that." Each step down costs the person less, so it means less. When testing an idea, aim for evidence near the top: something people give up money or real effort to get.

Rank from strongest to weakest: (1) email sign-up, (2) purchase, (3) compliment.

A. Sign-up, purchase, compliment
B. Sign-up, compliment, purchase
C. Purchase, sign-up, compliment
D. Compliment, sign-up, purchase

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q2/5 · Outcome ENT.TEST.05 (local)

Learn
The strongest evidence that people want something is that they pay for it, or commit money in advance. From strongest to weakest: real purchases; paid pre-orders or deposits; signed agreements; sign-ups that ask for real effort, such as booking a time; email sign-ups; and finally compliments, likes and "I would buy that." Each step down costs the person less, so it means less. When testing an idea, aim for evidence near the top: something people give up money or real effort to get.

Why is a pre-order strong evidence?

A. It is free for the customer to place.
B. The customer commits money before getting the product.
C. It guarantees the business will earn a profit later on.
D. It proves the product will be perfect.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q3
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q3/5 · Outcome ENT.TEST.05 (local)

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A booking that requires choosing a time and giving contact details is stronger than a "like" because...

A. it is easier than clicking a like.
B. it shows the person is a friend.
C. it costs the business nothing.
D. it takes real effort and commitment.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q4
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q4/5 · Outcome ENT.TEST.05 (local)

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Out of 80 visitors to a pre-order page, 4 paid a deposit. What percent paid?

A. 4 percent
B. 20 percent
C. 5 percent
D. 50 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-M-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · MAIN · Q5/5 · Outcome ENT.TEST.05 (local)

Learn
A simple test for any signal: what did it cost the person? Clicking "like" costs a second. Saying "great idea" costs nothing. Typing an email costs a little effort. Booking a time costs planning. Paying costs money. The more a signal costs the person, the more you can trust it as evidence that they really want what you offer.

What does a "like" cost the person?

A. An hour of their time
B. About a second of effort
C. Real money
D. A signed contract

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q1
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.05 (local)

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Which signal costs the person the most?

A. Saying "great idea"
B. Typing an email address
C. Clicking like
D. Paying for the product

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.05 (local)

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Why trust costly signals more?

A. Costly signals are easier to collect.
B. Free signals are always lies.
C. Costly signals come only from friends and family members who want to help.
D. People rarely give up money or effort for things they do not want.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q3
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.05 (local)

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Booking a time slot costs the person what?

A. A full payment always
B. Their email password
C. Planning and commitment
D. Nothing at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q4
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.05 (local)

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"Great idea!" from a stranger is what kind of signal?

A. Weak, because it costs nothing
B. Proof of a sale
C. Strong, because strangers are honest
D. A legal agreement

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-B1-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.05 (local)

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A founder of a meal-prep service can run one test. Which gathers the strongest evidence?

A. Post a poll asking if people like healthy food
B. Take paid orders for next week's meals
C. Count likes on a meal photo
D. Ask friends to say it sounds good

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q1
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A crafts seller collected 200 email sign-ups but only 3 sales from them. What should she conclude?

A. Sales do not really matter when email sign-ups are this high.
B. Interest is mild; many sign-ups did not turn into buying.
C. Demand is huge because of 200 sign-ups.
D. She should stop selling completely now.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.05 (local)

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Which pre-launch offer gives the strongest signal for a new board game?

A. A free newsletter about games
B. A paid pre-order with a ship date
C. A contest to name the game
D. A survey about favorite colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q3
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Two tests: A got 500 likes and 0 sales. B got 40 likes and 12 sales. Which shows stronger demand?

A. Neither, because likes and sales are unrelated

B. Test A, because it got more likes

C. Test B, because 12 people paid

D. Both equally, because both got attention

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q4
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.05 (local)

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A deposit is 25 dollars. Eight customers paid a deposit. How much was committed in total?

A. 200 dollars
B. 8 dollars
C. 25 dollars
D. 33 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F1-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.05 (local)

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A founder's relatives made most of the early purchases. What should she be careful about?

A. Relatives' purchases prove that strangers will also buy the same product.
B. She should refuse to sell to relatives.
C. Relatives' money is not real money.
D. Relatives may buy to support her, not because they need it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q1
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.05 (local)

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Pre-orders came in, but the founder cannot deliver for 6 months and many customers asked for refunds. What does this show?

A. Interest existed, but delays can turn demand into refunds.
B. Pre-orders guarantee that customers will stay no matter how long they wait.
C. Delays never affect customers.
D. Refunds prove no one wanted it.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q2
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.05 (local)

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A business got 30 sales, but all came with a 70 percent discount. What should be tested next?

A. Whether a 90 percent discount sells even more
B. Whether people buy at a price that covers costs
C. Whether the product color matters
D. Whether to stop selling for a year

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q3
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A survey says 60 percent "would buy," but past tests show only about 1 in 10 people who say this actually buy. About what share of people will likely buy?

A. 60 percent
B. About 50 percent
C. About 10 percent
D. About 6 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q4
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Which missing information should a founder check before trusting a "200 pre-orders" claim from a partner?

A. Whether the partner likes the founder
B. What color the order form was
C. Whether the pre-orders were paid or just free reservations
D. How long the partner has used social media to promote other products

REFERENCE LABEL: NOT PART OF THE QUESTION ID S14-F2-Q5
Entrepreneurship, Set 14: Evidence of willingness to pay · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.05 (local)

Set 15: Likes and praise are not demand

Outcome ENT.TEST.06: Explain why likes, follows and compliments are weak demand signals

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Likes, follows, views and compliments feel good, but they are weak signs of demand. They cost people nothing, so many people give them freely. A post with 2,000 likes may lead to zero sales. Followers can also be people who enjoy your content but will never buy, or accounts that are not real people. To judge demand, look for actions that cost the person something: purchases, deposits, bookings, or replies asking how to buy. Treat likes as a sign of attention, not of buying.

A post about a new candle got 3,000 likes and 2 sales. What does this most likely show?

A. Many people noticed it, but few wanted to buy.
B. The likes prove sales will rise soon.
C. Demand is very strong because of the likes.
D. Likes and sales always move together.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q1
Entrepreneurship, Set 15: Likes and praise are not demand · MAIN · Q1/5 · Outcome ENT.TEST.06 (local)

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Why are compliments weak evidence of demand?

A. They are always insincere and untrue.
B. Customers never give compliments.
C. They cost nothing to give.
D. Compliments are illegal to collect.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q2
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Which action is the strongest sign of demand?

A. A new follower on a social account
B. A message asking how to place an order
C. A heart reaction on a product photo
D. A comment saying "so cute!"

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q3
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A creator has 10,000 followers but sells almost nothing. Which is a likely reason?

A. Followers are the same as paying customers.
B. Sales are impossible on social media.
C. 10,000 followers always buy something.
D. Followers enjoy the content but are not buyers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q4
Entrepreneurship, Set 15: Likes and praise are not demand · MAIN · Q4/5 · Outcome ENT.TEST.06 (local)

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What should likes be treated as?

A. A sign of attention
B. A sign of guaranteed profit
C. A legal contract
D. A replacement for sales

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-M-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · MAIN · Q5/5 · Outcome ENT.TEST.06 (local)

Learn
Think of a store window. Many people stop to look at a pretty display; that is attention. Far fewer walk in, and fewer still buy. Online, a like is the same as glancing at the window. A business needs the people who walk in and pay. When you measure an idea, count the people who acted with money or real effort, not the people who glanced.

People stopping to look at a store window show what?

A. Refunds
B. Attention
C. Profit
D. Purchases

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q1
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.06 (local)

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Online, a like is most like what?

A. Signing a lease
B. Paying for an item at the counter
C. Glancing at a store window
D. Returning an item

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q2
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.06 (local)

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Who matters most when measuring demand?

A. People who pay or make a real commitment
B. People who scroll by and never notice the post
C. People who glance
D. People who scroll past

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q3
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.06 (local)

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Which shows buying behavior?

A. A customer pays for an order
B. A person shares a meme
C. A person follows an account
D. A person likes a photo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q4
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Many look, few buy. What does this pattern describe?

A. A broken website
B. A guaranteed failure
C. A legal problem
D. Normal shopping behavior

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-B1-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.06 (local)

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Two products: A got 900 likes and 5 orders. B got 120 likes and 30 orders. Which shows stronger demand?

A. Neither, since likes were low
B. Product A, because it got more likes
C. Product B
D. Both equally, since both got likes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q1
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A baker wants a better demand signal than likes. Which step helps most?

A. Buy a follower package to look popular
B. Post a pre-order link for Saturday pickup
C. Post more photos of the same cake
D. Ask followers to like the post more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q2
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A video got 50,000 views. 25 viewers bought the product. What fraction of viewers bought?

A. 1 in 2,000
B. 1 in 50
C. 1 in 200 people
D. 1 in 20

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q3
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Which comment is the most useful demand signal?

A. "Following for more posts like this one"
B. "So pretty"
C. "Do you ship to Ohio? I want two."
D. "Love this!!!"

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A founder plans to judge a launch by likes. What better measure fits the goal of sales?

A. Number of emoji reactions
B. Number of likes in the first hour
C. Number of shares by friends
D. Orders and sales in the first two weeks

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F1-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.06 (local)

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A post went viral because of a funny mistake in the video, not the product. Sales did not change. What is the best conclusion?

A. The product must be terrible because sales stayed flat.
B. The attention was about the mistake, not demand for the product.
C. Viral posts always prove product demand.
D. The founder should repeat the mistake on purpose.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q1
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.06 (local)

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A seller bought 5,000 followers. Likes rose, sales did not. What is the main problem?

A. Sales never follow followers.
B. Buying followers always increases sales a lot over time.
C. Bought followers are often not real buyers, so the numbers mislead.
D. Followers are always real customers.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q2
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.06 (local)

Learn
Likes, follows, views and compliments feel good, but they are weak signs of demand. They cost people nothing, so many people give them freely. A post with 2,000 likes may lead to zero sales. Followers can also be people who enjoy your content but will never buy, or accounts that are not real people. To judge demand, look for actions that cost the person something: purchases, deposits, bookings, or replies asking how to buy. Treat likes as a sign of attention, not of buying.

Many friends praise a product idea online. Before investing, what should the founder check?

A. Whether people outside her circle will pay
B. Whether friends will keep praising it
C. Whether the post can get more hearts
D. Whether to buy more followers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q3
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.06 (local)

Learn
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An account has high engagement (many comments) but low sales. Which next test best checks demand?

A. Offer a limited paid pre-order and count buyers
B. Post more often each day without any offer or link
C. Ask for even more comments
D. Delete the account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q4
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.06 (local)

Learn
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A post with 4,000 likes sold 8 items at 15 dollars each. What were total sales?

A. 4,015 dollars
B. 120 dollars
C. 15 dollars
D. 60,000 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S15-F2-Q5
Entrepreneurship, Set 15: Likes and praise are not demand · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.06 (local)

Set 16: Continue, change or stop

Outcome ENT.TEST.07: Decide from stated test results whether to continue, change or stop an idea

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
After a test, decide: continue, change, or stop. CONTINUE when the results meet the target you set in advance. CHANGE (sometimes called a pivot) when part of the idea works but something important does not: a different customer, price, or offer might fit better. STOP when the results are far below the target and nothing points to a better version, or when the cost of continuing is too high. Stopping is not failing; it protects time and money for a better idea.

Target: 20 paid bookings in a month. Result: 26 bookings. What is the sensible decision?

A. Continue
B. Stop
C. Ignore the result
D. Change the target to 40 and call it a failure

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q1
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q1/5 · Outcome ENT.TEST.07 (local)

Learn
After a test, decide: continue, change, or stop. CONTINUE when the results meet the target you set in advance. CHANGE (sometimes called a pivot) when part of the idea works but something important does not: a different customer, price, or offer might fit better. STOP when the results are far below the target and nothing points to a better version, or when the cost of continuing is too high. Stopping is not failing; it protects time and money for a better idea.

Target: 20 bookings. Result: 3 bookings, and customers said the price was fine but the hours did not suit them. What fits best?

A. Stop, since all ideas with 3 bookings fail
B. Continue exactly as before
C. Raise the price immediately
D. Change the hours and test again

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q2
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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Target: 30 sales. Result: 1 sale. No feedback suggests a better version, and costs keep rising. What fits best?

A. Call it a success because one person bought
B. Stop and move to a better idea
C. Continue with more money
D. Change only the logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q3
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q3/5 · Outcome ENT.TEST.07 (local)

Learn
After a test, decide: continue, change, or stop. CONTINUE when the results meet the target you set in advance. CHANGE (sometimes called a pivot) when part of the idea works but something important does not: a different customer, price, or offer might fit better. STOP when the results are far below the target and nothing points to a better version, or when the cost of continuing is too high. Stopping is not failing; it protects time and money for a better idea.

What does "pivot" mean here?

A. Closing the business for good
B. Repeating the same test again with nothing changed at all
C. Changing an important part of the idea based on what you learned
D. Hiring a large team at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q4
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
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Why is stopping sometimes the right decision?

A. It always earns money back.
B. It proves the founder made no mistakes.
C. It is required after any first test.
D. It saves time and money for a better idea.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-M-Q5
Entrepreneurship, Set 16: Continue, change or stop · MAIN · Q5/5 · Outcome ENT.TEST.07 (local)

Learn
Think of baking a new cookie for a school sale. If most cookies sell, keep making them (continue). If people love the taste but say the cookies are too big for the price, make them smaller (change). If almost no one buys and no one says why, try a different treat (stop). The decision follows the results and what people told you, not how much you hoped it would work.

Most cookies sold. What is the choice?

A. Change
B. Continue
C. Ignore it
D. Stop

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q1
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.TEST.07 (local)

Learn
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People loved the taste but said cookies were too big for the price. What is the choice?

A. Stop selling cookies
B. Continue unchanged
C. Change the size
D. Double the price

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q2
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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Almost no one bought, and no one said why. What is the choice?

A. Try a different treat
B. Keep going exactly the same
C. Raise the price
D. Make twice as many cookies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q3
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.TEST.07 (local)

Learn
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What should guide the choice?

A. What your friends prefer
B. The results and what people said
C. The color of the packaging
D. How much you hoped it would work

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q4
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
Think of baking a new cookie for a school sale. If most cookies sell, keep making them (continue). If people love the taste but say the cookies are too big for the price, make them smaller (change). If almost no one buys and no one says why, try a different treat (stop). The decision follows the results and what people told you, not how much you hoped it would work.

"Change" means what?

A. Keep what works and adjust what does not
B. Start everything from zero with a brand-new idea
C. Close forever
D. Do nothing new

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-B1-Q5
Entrepreneurship, Set 16: Continue, change or stop · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.TEST.07 (local)

Learn
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A tutoring test set a target of 8 students. It got 9 students, but each needs 2 hours of travel. The tutor's goal is to earn at least 25 dollars per hour of total time. Each session pays 40 dollars for 1 hour of teaching. What should the tutor conclude?

A. Raise the target to 20 students

B. Stop, because tutoring never works

C. Continue unchanged, because the target of 8 students was met and passed

D. Demand is there, but travel time makes the pay too low; change the setup

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q1
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.TEST.07 (local)

Learn
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A juice stand sold 70 cups against a target of 50, but lost money because cups cost too much. Best next step?

A. Ignore the loss because sales were high
B. Stop immediately, since it lost money
C. Continue selling but change the cost or price
D. Lower the price to sell even more

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q2
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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An app test: target 100 sign-ups, result 95, and users who signed up used it every day. What fits best?

A. Delete the app and start over
B. Change everything about the app, from the name to the features
C. Continue; it is close to target and usage is strong
D. Stop, because 95 is below 100

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q3
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A dog-walking test got many requests, but almost all were for cat sitting. What change is most sensible?

A. Keep offering only dog walking
B. Test a cat-sitting offer
C. Stop all pet services
D. Raise dog-walking prices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q4
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
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A test cost 300 dollars and earned 120 dollars, far below the 400-dollar target, with no useful feedback. What is the most reasonable choice?

A. Spend 3,000 dollars more on the same plan
B. Change only the font on the flyer
C. Stop or test a clearly different idea
D. Call it a success

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F1-Q5
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.TEST.07 (local)

Learn
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Results are mixed: half the customers loved it, half asked for refunds. What should the founder check before deciding?

A. What the happy and unhappy customers have in common
B. Whether to raise prices for every customer right away
C. Whether the logo is popular
D. Which group is louder online

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q1
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.TEST.07 (local)

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A founder keeps lowering the success target after each weak test so she can "continue." What is the problem?

A. Targets should never be set at all.
B. Lower targets always lead to success in the end.
C. There is no problem with this.
D. Moving targets hides weak results and wastes time.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q2
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.TEST.07 (local)

Learn
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A test met its target, but the founder has no time left because of a new job. What is a sensible option?

A. Grow quickly anyway
B. Pretend the test failed so there is no pressure to grow
C. Pause, or find help, before committing to growth
D. Double the target

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q3
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.TEST.07 (local)

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A test missed its target, but the founder discovers the payment link was broken for most of the test. What should she do?

A. Fix the link and run the test again
B. Stop the idea based on this result
C. Count the result as a success
D. Ignore the broken link

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q4
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.TEST.07 (local)

Learn
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Target: at least 25 percent of visitors book. Result: 18 of 60 visitors booked. Should the founder continue by that target?

A. No, only 18 percent booked

B. It cannot be judged from these numbers

C. Yes, 30 percent booked, above the target

D. No, 18 is below 25

REFERENCE LABEL: NOT PART OF THE QUESTION ID S16-F2-Q5
Entrepreneurship, Set 16: Continue, change or stop · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.TEST.07 (local)

Set 17: Founder case: Zappos tests before buying stock

Outcome ENT.CASE.03: Apply a documented test (selling before holding inventory) to a new product idea, and see its limits

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history: Zappos founder Nick Swinmurn tested whether people would buy shoes online before holding any inventory. He photographed shoes at local stores and posted them online; when someone ordered a pair, he bought it from the store at full price and shipped it. Lesson drawn by this course (an interpretation): you can test demand before investing in stock, even if each early sale earns little or loses money, because the goal of the test is to learn. One success story does not guarantee the same result for another business.

According to the passage, how did Swinmurn fill early orders?

A. He had a factory make each pair to order.
B. He shipped shoes from a large warehouse he owned.
C. He asked customers to pick up shoes at his home.
D. He bought the shoes from local stores and shipped them.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
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What question was this test designed to answer?

A. Would people buy shoes online?
B. Which shoe color is the most popular?
C. Which store has the best staff?
D. How cheaply can shoes be made?

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
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Why might early sales have earned little money?

A. He gave every pair away free.
B. Customers paid twice the price.
C. He paid full store price for each pair.
D. He had no shipping costs at all on any order.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q3/5 · Outcome ENT.CASE.03 (local)

Learn
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Mara wants to sell imported tea online but cannot afford stock. Applying the lesson, what is a good first test?

A. Buy a full container of tea first
B. List a few teas, buy them only after orders arrive, and ship
C. Assume demand without any test
D. Wait until she can afford to rent a warehouse full of tea

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q4/5 · Outcome ENT.CASE.03 (local)

Learn
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Which statement fits the course's interpretation?

A. Holding large stock is the only real test.
B. Every early sale must be profitable.
C. This method guarantees success for any product.
D. Early tests aim to learn, not to maximize profit.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-M-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · MAIN · Q5/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

Which approach takes orders first?

A. Hire staff before any orders
B. Bake only what customers ordered
C. Buy a bakery building first
D. Bake 200 loaves and hope

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

Why does taking orders first risk less?

A. Ingredients become free.
B. It avoids dealing with any customers at all.
C. Customers pay double.
D. You spend only after customers commit.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

What is a downside of baking only to order?

A. It can be slower and less efficient.
B. It needs a large warehouse for the bread.
C. It guarantees huge waste.
D. It is illegal.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.03 (local)

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Baking 200 loaves before any orders is what?

A. A pre-order
B. A refund
C. Spending before knowing demand
D. Testing demand first with real orders

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.03 (local)

Learn
Imagine opening a small bakery stand. One way: bake 200 loaves and hope they sell. Another way: take orders first, then bake only what was ordered. The second way risks less, because you buy ingredients only when customers have committed. It may be slower and less efficient, but it tells you what people actually want before you spend a lot.

What does ordering first tell you?

A. Your future profit for sure
B. The best bakery name
C. Nothing useful
D. What people actually want

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-B1-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.03 (local)

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Leo wants to sell custom phone stands. Which plan best applies the lesson?

A. Show photos of a sample, take orders, then make each stand
B. Skip samples and only post a logo
C. Rent a store before making a sample
D. Make 1,000 stands in a workshop before showing anyone a sample

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
Documented history: Zappos founder Nick Swinmurn tested whether people would buy shoes online before holding any inventory. He photographed shoes at local stores and posted them online; when someone ordered a pair, he bought it from the store at full price and shipped it. Lesson drawn by this course (an interpretation): you can test demand before investing in stock, even if each early sale earns little or loses money, because the goal of the test is to learn. One success story does not guarantee the same result for another business.

A seller buys each item at 20 dollars and sells at 22 dollars, plus pays 5 dollars shipping. What happens on each sale during this test?

A. She earns 2 dollars per sale.
B. She loses 3 dollars per sale.
C. She breaks even.
D. She earns 7 dollars per sale.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
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Given the loss above, why might the test still be worthwhile?

A. It proves the business will make a large profit later.
B. It shows whether people buy before investing in stock.
C. Losses are always good for a business.
D. Shipping costs do not matter in tests.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.CASE.03 (local)

Learn
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A test showed strong orders. What should come next before buying large stock?

A. Stop testing and ignore costs
B. Raise prices without checking demand
C. Keep losing money on every sale forever
D. Find a supplier price that leaves a profit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.CASE.03 (local)

Learn
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Which product is LEAST suited to "buy only after an order"?

A. Books from a supplier
B. Printed posters made on demand after each order
C. Shoes from a nearby store
D. Fresh food that must be ready instantly

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F1-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.03 (local)

Learn
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A store owner learns her product photos are being copied, without permission, to sell her shoes online. What should a founder using this tactic have done?

A. Hide where the shoes came from
B. Copy the store's brand name
C. Assume any photo of a store's shoes is free to use online
D. Ask permission to use the store's photos, or take his own

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q1
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.03 (local)

Learn
Documented history: Zappos founder Nick Swinmurn tested whether people would buy shoes online before holding any inventory. He photographed shoes at local stores and posted them online; when someone ordered a pair, he bought it from the store at full price and shipped it. Lesson drawn by this course (an interpretation): you can test demand before investing in stock, even if each early sale earns little or loses money, because the goal of the test is to learn. One success story does not guarantee the same result for another business.

Customers expect delivery in 2 days, but buying each item after an order takes 5 days. What is the main risk?

A. There is no risk if the item arrives eventually.

B. Customers prefer slow delivery.

C. Delivery time never matters online.

D. Slow delivery may cause cancellations and bad reviews.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q2
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.03 (local)

Learn
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Which detail should a founder check before copying the "buy after order" approach for a rare product?

A. Whether the founder of Zappos personally liked this kind of product
B. What year Zappos started
C. Whether the supplier will reliably have the item in stock
D. Whether competitors use the same font

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q3
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.03 (local)

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A founder ran the test, lost money on every sale, and kept going for two years without changing costs. What went wrong?

A. The test turned into a long-term loss without a plan to fix costs.

B. The test should have lasted five years.

C. Tests should never lose any money.

D. Nothing went wrong, because losses are part of every business forever.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q4
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.03 (local)

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Which is the most accurate statement about using a famous founder's tactic?

A. The tactic guarantees the same success for any founder who copies it.
B. The tactic may help, but your product, costs and customers must be checked.
C. Only shoe sellers may use it.
D. The tactic never works for anyone else.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S17-F2-Q5
Entrepreneurship, Set 17: Founder case: Zappos tests before buying stock · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.03 (local)

Set 18: Founder case: Dropbox shows a demo first

Outcome ENT.CASE.04: Apply a documented test (a demo with a sign-up list) and tell sign-ups from paying customers

Module: Foundation 3: Testing demand

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Documented history: before Dropbox was ready for the public, cofounder Drew Houston posted a short demo video showing how the file-syncing product would work, with a way to join a waiting list for the beta (early test) version. After the video was shared online, the waiting list grew sharply. Accounts differ on the exact numbers, so none are used here. Lesson drawn by this course (an interpretation): a clear demonstration can test interest before a product is finished, but sign-ups are interest, not payment. One success story does not guarantee the same result.

According to the passage, what did Houston share before the product was public?

A. A finished product sold in stores
B. A short demo video
C. A printed catalog of features
D. A list of investors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q1/5 · Outcome ENT.CASE.04 (local)

Learn
Documented history: before Dropbox was ready for the public, cofounder Drew Houston posted a short demo video showing how the file-syncing product would work, with a way to join a waiting list for the beta (early test) version. After the video was shared online, the waiting list grew sharply. Accounts differ on the exact numbers, so none are used here. Lesson drawn by this course (an interpretation): a clear demonstration can test interest before a product is finished, but sign-ups are interest, not payment. One success story does not guarantee the same result.

What did the video let viewers do?

A. Download the finished app
B. Buy a lifetime plan for the product immediately
C. Join a waiting list for the early version
D. Apply for a job at the company

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q2/5 · Outcome ENT.CASE.04 (local)

Learn
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Why does the passage avoid exact sign-up numbers?

A. The numbers were secret forever.
B. Different accounts give different numbers.
C. There were no sign-ups at all.
D. Numbers never matter in business stories like this one.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q3
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q3/5 · Outcome ENT.CASE.04 (local)

Learn
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Which lesson does the course draw?

A. Products must be fully finished before any test is run.
B. Sign-ups prove customers will pay.
C. Videos always go viral.
D. A demo can test interest, but sign-ups are not payment.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q4
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q4/5 · Outcome ENT.CASE.04 (local)

Learn
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Sofia is building a budgeting app. Applying the lesson, what is a good early test?

A. Spend a year building every feature first
B. Show a short demo and offer a waiting list
C. Skip any test and launch in app stores
D. Buy ads for an app that does not exist without explaining it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-M-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · MAIN · Q5/5 · Outcome ENT.CASE.04 (local)

Learn
A sign-up list measures interest: people giving their email to hear more. A payment measures commitment: people giving money. Both are useful, but they are different. Many people sign up for things they never buy. If a waiting list is large, the next step is to check how many will pay, for example with a paid early-access offer.

A waiting-list sign-up measures what?

A. Payment
B. Profit
C. Refunds
D. Interest

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.CASE.04 (local)

Learn
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Which measures commitment?

A. Liking a post
B. Watching a demo
C. Paying for early access
D. Joining an email list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.CASE.04 (local)

Learn
A sign-up list measures interest: people giving their email to hear more. A payment measures commitment: people giving money. Both are useful, but they are different. Many people sign up for things they never buy. If a waiting list is large, the next step is to check how many will pay, for example with a paid early-access offer.

A large waiting list should lead to which next step?

A. Check how many will pay
B. Stop collecting emails
C. Assume all will pay
D. Delete the list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q3
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.CASE.04 (local)

Learn
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Why can a sign-up list overstate demand?

A. Sign-ups are illegal.
B. Many people sign up but never buy.
C. Sign-ups cost a lot of money.
D. Sign-ups are always fake.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q4
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.CASE.04 (local)

Learn
A sign-up list measures interest: people giving their email to hear more. A payment measures commitment: people giving money. Both are useful, but they are different. Many people sign up for things they never buy. If a waiting list is large, the next step is to check how many will pay, for example with a paid early-access offer.

Which is stronger evidence?

A. 50 paid early-access customers
B. 50 likes
C. 5,000 video views
D. 500 email sign-ups for updates

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-B1-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.CASE.04 (local)

Learn
Documented history: before Dropbox was ready for the public, cofounder Drew Houston posted a short demo video showing how the file-syncing product would work, with a way to join a waiting list for the beta (early test) version. After the video was shared online, the waiting list grew sharply. Accounts differ on the exact numbers, so none are used here. Lesson drawn by this course (an interpretation): a clear demonstration can test interest before a product is finished, but sign-ups are interest, not payment. One success story does not guarantee the same result.

A designer has a template idea. Which test follows the lesson AND checks payment?

A. Show a demo only to friends
B. Show a demo, then offer paid early access at a discount
C. Build 100 templates before showing anyone a single example
D. Post a logo and wait

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.CASE.04 (local)

Learn
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A demo page got 1,200 visitors and 300 sign-ups. What percent signed up?

A. 40 percent
B. 12 percent
C. 30 percent
D. 25 percent

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.CASE.04 (local)

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Of the 300 sign-ups, 15 paid for early access. What does this show?

A. Some real demand, much smaller than the sign-up list
B. No demand at all
C. All 300 will certainly pay later
D. Payments do not matter much if the number of sign-ups is high

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q3
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Which demo would be misleading?

A. A video clearly labeled "planned features"
B. A short screen recording that shows the current early version
C. A video showing a real early prototype
D. A video showing features that do not exist and are not planned

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q4
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After a strong demo test, what should a founder do before promising a launch date?

A. Raise money without a plan
B. Promise the earliest possible date anyway to keep people excited
C. Check how long building the real product will take
D. Stop talking to people on the list

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F1-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.CASE.04 (local)

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A founder's product is hard to show in a short video (for example, a new kind of accounting method). What is a sensible adaptation?

A. Copy Dropbox's video style exactly, scene by scene, for the method
B. Make a confusing video anyway
C. Skip testing entirely
D. Use a different test, such as a simple trial with a few customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q1
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.CASE.04 (local)

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A demo video went viral, but most viewers were outside the countries the founder can serve. What should she check?

A. The total view count only
B. Which country liked the video the most, judging by comments
C. How many sign-ups come from customers she can actually serve
D. The number of likes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q2
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.CASE.04 (local)

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A founder copies the demo approach but has no clear problem to show. What is the likely result?

A. Few people will care, because the demo shows no clear benefit.
B. Huge numbers of sign-ups, because demo videos always work well
C. Payment from everyone who watches
D. A guaranteed investor offer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q3
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.CASE.04 (local)

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Which statement correctly separates history from interpretation?

A. Neither is documented.

B. The video and waiting list are documented; "demos test interest" is a lesson drawn.

C. Both are quotes from the founder.

D. The exact number of sign-ups is documented and agreed on by every source.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q4
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.CASE.04 (local)

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A waiting list has 2,000 people. Past launches in this field turned about 3 percent of a list into paying customers. About how many paying customers might the founder expect?

A. About 600
B. About 2,000
C. About 60
D. About 6

REFERENCE LABEL: NOT PART OF THE QUESTION ID S18-F2-Q5
Entrepreneurship, Set 18: Founder case: Dropbox shows a demo first · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.CASE.04 (local)

Set 19: Business name, legal entity and brand

Outcome ENT.LEGAL.01: Tell a business name, a legal entity and a brand apart

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Three different things are easy to mix up. The LEGAL IDENTITY is the business as the law sees it, with its legal name. A sole proprietorship is not separate from its owner; an LLC (limited liability company) is a separate LEGAL ENTITY, with its official name on state records. The BUSINESS NAME customers see may be different, such as a trade name. The BRAND is how customers recognize and feel about the business: its logo, colors, voice and reputation. Example: "Rivera Services LLC" (entity) might operate as "Sparkle Clean" (name customers see) with a blue bubble logo (brand).

"Rivera Services LLC" operates as "Sparkle Clean" and uses a blue bubble logo. Which is the legal entity?

A. Rivera Services LLC
B. The blue bubble logo used on the website
C. Sparkle Clean, the name printed on the van doors
D. The owner, Ms. Rivera, as a private person

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q1/5 · Outcome ENT.LEGAL.01 (local)

Learn
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In the same example, what is "Sparkle Clean"?

A. The bank account where all the payments go
B. The name customers see
C. The legal entity registered with the state as an LLC
D. The tax number the business uses for filings

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q2/5 · Outcome ENT.LEGAL.01 (local)

Learn
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Which is part of a BRAND?

A. The official filing number the state gave the LLC
B. The name of the registered agent on state records
C. The type of entity, such as an LLC or a corporation
D. The business's logo and the tone of its messages

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q3
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q3/5 · Outcome ENT.LEGAL.01 (local)

Learn
Three different things are easy to mix up. The LEGAL IDENTITY is the business as the law sees it, with its legal name. A sole proprietorship is not separate from its owner; an LLC (limited liability company) is a separate LEGAL ENTITY, with its official name on state records. The BUSINESS NAME customers see may be different, such as a trade name. The BRAND is how customers recognize and feel about the business: its logo, colors, voice and reputation. Example: "Rivera Services LLC" (entity) might operate as "Sparkle Clean" (name customers see) with a blue bubble logo (brand).

Can a business's legal name and the name customers see be different?

A. No, the law always requires them to be identical everywhere
B. Only for very large public companies with many stores
C. Yes, often
D. Only if the owner changes the bank account first

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q4
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q4/5 · Outcome ENT.LEGAL.01 (local)

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A customer says, "I love that company; they are always friendly." What is the customer describing?

A. The registered agent's office address in the state
B. The legal entity type listed in the state database
C. The owner's personal tax filing status this year
D. The brand

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-M-Q5
Entrepreneurship, Set 19: Business name, legal entity and brand · MAIN · Q5/5 · Outcome ENT.LEGAL.01 (local)

Learn
Think about a person. Their legal name is on official papers: "Robert James Lee." Friends call him "Bobby": a nickname. People who know him say he is reliable and funny: his reputation. A business works the same way. The legal name is the one on official papers (for an LLC, the name of the separate legal entity). The business name customers see is like a nickname. The brand is like a reputation and style that customers recognize.

"Robert James Lee" on official papers is like a business's what?

A. Logo
B. Legal entity name
C. Brand and reputation with customers
D. Nickname used by friends and customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.01 (local)

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"Bobby" is like a business's what?

A. Name customers see
B. Legal entity on state records
C. Insurance policy
D. Tax identification number

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.01 (local)

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"Reliable and funny" is like a business's what?

A. Mailing address
B. Legal entity
C. Brand
D. Bank account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q3
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Which belongs on official legal papers?

A. The legal entity name
B. A slogan
C. A customer review posted online
D. The logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q4
Entrepreneurship, Set 19: Business name, legal entity and brand · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.01 (local)

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Which can change without any legal filing in most cases?

A. The registered agent on file
B. The type of legal entity
C. The name of an LLC on state records
D. The colors on a logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-B1-Q5
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"Kim Design LLC" operates as "Pixel Pine." Which name belongs on a contract the LLC signs?

A. The owner's first name only, Jenny

B. Pixel Pine only, with no mention of the LLC

C. Kim Design LLC

D. The logo image instead of any written name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.01 (local)

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Which name usually appears on store signs and the website?

A. The name customers see
B. The registered agent's company name
C. The state filing number for the entity
D. The bank's name for the business account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.01 (local)

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A baker changes her logo from pink to green. What has changed?

A. Her legal entity type, from LLC to corporation
B. Only part of the brand
C. Her state registration and filing number
D. Her tax classification with the IRS

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q3
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An LLC wants customers to see a different name from its legal name. What should the owner check?

A. Whether the state or county requires registering that trade name
B. Whether the logo is pretty enough
C. Whether the bank account is open
D. Whether longtime customers liked the old name better than the new one

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q4
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Which situation mixes up name and brand?

A. Keeping the same colors across the website and van
B. Checking whether a trade name must be registered
C. Thinking a new logo protects the business name from use by others
D. Using the LLC name on contracts and the trade name on signs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F1-Q5
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.01 (local)

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A customer's payment fails because the invoice shows only "Pixel Pine," but the bank account is in the name "Kim Design LLC." What would most likely help?

A. Show the legal name with the trade name, such as "Kim Design LLC dba Pixel Pine"

B. Ask the customer to pay the owner personally

C. Change the logo and colors so the invoice looks nicer and more professional

D. Remove all names from future invoices

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q1
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.01 (local)

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An owner assumes that because her LLC name was approved by the state, no one else can use her brand name anywhere. What is wrong?

A. Names can never be protected in any way.
B. State approval of the LLC gives her worldwide ownership of the name.
C. Nothing; approval protects the brand everywhere.
D. State approval of an entity name is not the same as trademark rights.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q2
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.01 (local)

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Two owners argue about whether to rename the business. Which question should be answered first?

A. Which name is being changed: the legal entity name, the trade name, or the brand?

B. Whether to close the bank account

C. Which of the two possible names sounds more modern and catchy to customers today

D. Which owner chose the first logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q3
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.01 (local)

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A business operates under three trade names. What extra task does this most likely create?

A. Changing the tax classification for each name
B. Forming three separate legal entities automatically
C. Nothing at all; extra names never add work
D. Keeping each name's registrations and records straight

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q4
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.01 (local)

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Which statement is accurate?

A. A brand is the same thing as the legal entity.
B. One legal entity can use a different name with customers.
C. A trade name creates a new legal entity.
D. Logos must be registered with the state to be used.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S19-F2-Q5
Entrepreneurship, Set 19: Business name, legal entity and brand · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.01 (local)

Set 20: Name and domain checks are not trademark rights

Outcome ENT.LEGAL.02: Explain that a free domain or state name approval does not grant trademark rights, and what to check

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Checking a name is not the same as owning it. A domain name you can buy, a social media handle that is free, or a state's approval of an LLC name only shows that THAT specific spot was available. It does not give trademark rights, and it does not mean the name is safe to use. Another business may already use the same or a similar name for similar goods or services, and could object. Before investing in a name, also search for businesses using it and consider a trademark search (US: the USPTO database). Rules: US, check current guidance.

Nia bought the domain "glowpaws.com." What does this show?

A. That domain was available to buy.
B. No other business anywhere may use the name "Glow Paws."
C. The state has approved "Glow Paws" as her legal entity.
D. She owns the trademark "Glow Paws" everywhere in the country.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q1
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q1/5 · Outcome ENT.LEGAL.02 (local)

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The state approved "Blue Fern LLC." What does this approval mean?

A. The name is guaranteed safe from any legal objection.
B. Nobody can ever sell products called Blue Fern.
C. She has a federal trademark on "Blue Fern" in all fifty states.
D. The LLC can use that entity name in that state's records.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q2
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q2/5 · Outcome ENT.LEGAL.02 (local)

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Which search best helps check whether a brand name might conflict with others?

A. Only checking whether the social media handle is free
B. Only checking whether the domain name is for sale
C. A trademark database search plus a web search
D. Only asking friends if they have heard of the name

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q3
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q3/5 · Outcome ENT.LEGAL.02 (local)

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Why could a business object to a new company's name even if the domain was available?

A. Names cannot be used by two businesses for any reason.
B. It may already use a similar name for similar goods.
C. Domains are always illegal to buy.
D. Only the government can object to names.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q4
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Which statement is accurate?

A. A free handle gives the owner exclusive rights to the name.
B. A free handle proves no one else uses the name.
C. A free social media handle does not give trademark rights.
D. A free handle replaces the need for any search.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-M-Q5
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · MAIN · Q5/5 · Outcome ENT.LEGAL.02 (local)

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Finding an empty parking spot means you can park there right now. It does not mean you own the land. Name checks work the same way. An available domain or handle is an empty spot on one website. A state approving your LLC name is an empty spot in that state's list. None of them is a deed that proves you own the name against everyone else. Ownership-like rights to a brand name come from trademark law, which is a separate system.

An available domain is most like what?

A. A building permit
B. An empty parking spot
C. A signed lease for ten years
D. A deed to land

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-B1-Q1
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Which gives ownership-like rights to a brand name?

A. Trademark law
B. Buying a domain
C. Getting a free social handle
D. Printing business cards

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-B1-Q2
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A state approving an LLC name is most like what?

A. A federal trademark registration
B. A worldwide brand deed
C. A patent
D. An open spot on that state's list

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Does an empty parking spot mean you own the land?

A. Only if you park first
B. Yes, always
C. No
D. Only on weekends

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-B1-Q4
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Which is a separate system from domain and state name checks?

A. Trademark law
B. Phone numbers
C. Email newsletters
D. Website hosting

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Ravi plans to print 5,000 bags with his new brand name. Domain and handle are free. What should he do before printing?

A. Register a second domain to be safe
B. Ask only his family if they like the name
C. Print right away, since the domain and handle were both free to register
D. Search trademark records and the web for similar names

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A search finds a company using "Bright Leaf" for tea in another state. Lina wants "Bright Leaf" for tea too. What is the most sensible next step?

A. Copy their logo as well
B. Treat it as a possible conflict and consider another name or advice
C. Ignore it, because that company sells tea only in another state far away
D. Assume her LLC filing protects her

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F1-Q2
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Which name choice carries the lowest conflict risk, based only on these search results?

A. A name used by a large company in the same industry
B. A name with no similar uses found in trademark or web searches
C. A name very similar to a famous brand
D. A name whose domain is available but used by a competitor offline

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F1-Q3
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Which statement about a clear search is accurate?

A. It lowers risk but does not guarantee no conflict.
B. It guarantees no one can ever object.
C. It gives the owner a trademark automatically.
D. It is never worth doing.

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Who is the most appropriate person to ask about a possible trademark conflict?

A. A graphic designer
B. A website hosting company
C. A trademark attorney
D. A social media follower

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F1-Q5
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.02 (local)

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An owner says, "My LLC name was approved, I bought the domain, and I got the handle, so I own the name." What is the unsupported assumption?

A. That availability checks create trademark ownership
B. That domain names can be bought at all by small businesses
C. That LLCs need names
D. That handles can be registered

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q1
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.02 (local)

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A seller gets a letter saying her product name is too similar to another company's trademark. What is a sensible first step?

A. Post the letter online and mock the company
B. Read it carefully and get advice before responding
C. Ignore it, since her domain is valid
D. Immediately pay any amount demanded

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q2
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.02 (local)

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Two businesses have similar names but sell very different things (bakery versus car repair) in different towns. What should a founder understand?

A. Similar names can never conflict at all
B. Any similar name is always illegal
C. Only the older business may ever use any similar name for anything at all
D. Conflict risk depends on similarity, goods and markets; check carefully

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q3
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.02 (local)

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Which check is MISSING from this plan? "Name chosen, domain bought, logo designed, bags ordered."

A. A trademark and web search for similar names

B. A larger bag order

C. A second, more colorful logo design for the bags

D. A new email address

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q4
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.02 (local)

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A name search costs 0 dollars online. Reprinting 5,000 bags costs 0.60 dollars each. How much could skipping the search cost if the name must change?

A. 60 dollars
B. 5,000 dollars total
C. 3,000 dollars
D. 600 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S20-F2-Q5
Entrepreneurship, Set 20: Name and domain checks are not trademark rights · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.02 (local)

Set 21: Sole proprietorships and partnerships

Outcome ENT.LEGAL.03: Describe sole proprietorships and general partnerships, including personal responsibility for debts

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Jo starts selling crafts alone and registers no entity. What is her business most likely?

A. An LLC, created automatically when she makes a sale
B. A sole proprietorship
C. A partnership, because she has customers
D. A corporation, because she sells products to the public

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q1/5 · Outcome ENT.LEGAL.03 (local)

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What is the main risk of a sole proprietorship?

A. The owner is personally responsible for business debts.
B. It must have at least ten employees on payroll.
C. It can never earn a profit under the law.
D. It is always taxed as a large corporation.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q2/5 · Outcome ENT.LEGAL.03 (local)

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Two friends start a painting business together, share profits, and form no entity. What is it most likely?

A. A sole proprietorship, since only one can own it
B. A nonprofit, because they are friends
C. An LLC, because two people are involved
D. A general partnership

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q3/5 · Outcome ENT.LEGAL.03 (local)

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In a general partnership, who can be personally responsible for business debts?

A. Only the partner who signed the most recent contract
B. No one, because the partnership is a separate shield
C. Usually each partner
D. Only the customers who owe the business money

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q4/5 · Outcome ENT.LEGAL.03 (local)

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What is a main advantage of a sole proprietorship?

A. It is simple to start.
B. It must be approved by the federal government.
C. It always protects personal savings from lawsuits.
D. It guarantees lower taxes than other forms.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-M-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · MAIN · Q5/5 · Outcome ENT.LEGAL.03 (local)

Learn
In a sole proprietorship, there is no wall between you and the business. Picture one wallet: business money and debts are legally yours. If the business owes a supplier, you owe the supplier. A general partnership is like several people sharing that same wallet: each can be on the hook for what the business owes. Forming an LLC or corporation is how some owners try to build a wall, but that is a separate step with its own limits.

In a sole proprietorship, whose debt is the business's debt?

A. The bank's
B. Only the customers'
C. The owner's
D. No one's

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.03 (local)

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Is there a legal wall between a sole proprietor and the business?

A. Only on weekends
B. No
C. Yes, always
D. Only for small debts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.03 (local)

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A general partnership is like what?

A. One person with two wallets
B. A bank loan
C. A wall between owners and debts
D. Several people sharing one wallet

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.03 (local)

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What do some owners form to try to build a wall?

A. A website
B. An LLC or corporation
C. A logo
D. A business card with a printed logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.03 (local)

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If a sole proprietor's business owes a supplier, who owes the supplier?

A. The local library
B. Nobody
C. The supplier's customers
D. The owner

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-B1-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.03 (local)

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Mo tutors on his own, files nothing with the state, and a client sues him over a missed contract. Whose assets could be at risk?

A. Mo's personal assets, since he is a sole proprietor
B. No one's, because tutoring is too small to sue
C. Only the client's assets
D. Only the tutoring business's separate assets, protected from Mo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.03 (local)

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Two partners have no written agreement. One partner orders 3,000 dollars of supplies for the business without telling the other. What risk does this show?

A. Only the ordering partner can ever be responsible
B. Partnerships cannot buy supplies
C. Each partner can create debts that affect both
D. The order is automatically canceled by law

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.03 (local)

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Which business is most likely a sole proprietorship?

A. Two partners who formed an LLC together
B. A single dog walker who never registered an entity
C. Three cofounders who filed incorporation papers
D. A company with an LLC certificate from the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q3/5 · Outcome ENT.LEGAL.03 (local)

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A sole proprietor has 2,000 dollars of business debt and 5,000 dollars of personal savings. If the business cannot pay, what could happen?

A. The debt disappears because the business closed.
B. Savings are always protected from business debts.
C. Creditors could seek payment from her personal savings.
D. Only 50 percent of the debt can ever be collected.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.03 (local)

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Which step changes a sole proprietorship into a different structure?

A. Hiring a first customer
B. Opening a business bank account in his own name at a local bank
C. Getting a logo designed
D. Forming an entity, such as an LLC, with the state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F1-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.03 (local)

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Two friends call their joint business "just a hobby" but share profits from regular sales. What should they understand?

A. Hobbies cannot have profits by law
B. They become an LLC by sharing profits
C. Calling it a hobby removes all legal responsibility
D. The law may treat them as a partnership based on what they do

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q1
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.03 (local)

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A sole proprietor wants less personal risk but is unsure what to do. What is the best first step?

A. Learn about other structures and ask an attorney or accountant
B. Stop keeping records
C. Assume insurance is never needed for a small one-person business
D. Change the business logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q2
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.03 (local)

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Which is MISSING from a two-person business plan with no entity? "We split profits 50/50 and both buy supplies."

A. A second social media account for posting photos of their work

B. A third logo

C. A larger supply budget

D. A written agreement about roles, decisions and debts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q3
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.03 (local)

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A sole proprietor assumes local business licenses are not needed "because I am just one person." What should she check?

A. Only federal rules, since local rules never apply
B. Her city, county and state license and permit requirements
C. Nothing, one-person businesses never need licenses
D. Only whether her friends have licenses

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q4
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.03 (local)

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Which statement is accurate?

A. Simple structures like this have no legal responsibilities at all.
B. Partnerships protect partners from all debts.
C. Being simple to start does not make a sole proprietorship risk-free.
D. Sole proprietors cannot be sued.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S21-F2-Q5
Entrepreneurship, Set 21: Sole proprietorships and partnerships · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.03 (local)

Set 22: LLCs and corporations

Outcome ENT.LEGAL.04: Describe LLCs and corporations at a basic level, including what limited liability does and does not do

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
A LIMITED LIABILITY COMPANY (LLC) is a business entity formed by filing with a state. Its main feature is limited liability: generally, business debts and lawsuits are the company's, not the owners' personal ones. A CORPORATION is also formed with the state; it is owned by shareholders and run with more formal rules. Both can help separate personal and business risk, but neither is total immunity: owners can still be personally responsible for their own wrongful acts, for personal guarantees they sign, or if they mix personal and business money. Source: SBA; state law varies.

How is an LLC created?

A. By buying a domain name with "LLC" in it
B. Automatically when a business makes its first sale
C. By opening a business bank account
D. By filing with a state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q1
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q1/5 · Outcome ENT.LEGAL.04 (local)

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What does "limited liability" generally mean?

A. The owners can never be sued for anything at all.
B. Business debts are generally the company's, not the owners'.
C. The company can only earn a limited amount of money.
D. The business never has to pay any taxes.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q2
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q2/5 · Outcome ENT.LEGAL.04 (local)

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Which can still make an LLC owner personally responsible?

A. Signing a personal guarantee for a business loan
B. Using a logo on business cards
C. Paying the state filing fee on time
D. Choosing a business name with an LLC ending

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q3
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q3/5 · Outcome ENT.LEGAL.04 (local)

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Who owns a corporation?

A. Its suppliers
B. Its customers
C. Its shareholders
D. The state that approved it

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q4
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q4/5 · Outcome ENT.LEGAL.04 (local)

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Which statement about LLCs is accurate?

A. An LLC protects owners from every possible claim.
B. An LLC automatically lowers taxes for every owner.
C. An LLC means owners may mix personal and business money freely.
D. An LLC is not total immunity from personal responsibility.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-M-Q5
Entrepreneurship, Set 22: LLCs and corporations · MAIN · Q5/5 · Outcome ENT.LEGAL.04 (local)

Learn
Think of an LLC as a wall between the business and the owner's personal life. Most business debts stay on the business side. But the wall has doors that the owner can open: signing a personal guarantee, causing harm personally, or treating business money as personal money. Each of these can let business problems reach the owner. Forming an LLC builds the wall; careful habits keep the doors closed.

In this picture, what does forming an LLC do?

A. Pays taxes automatically
B. Builds a wall between business and personal life
C. Guarantees profit
D. Removes all business debts from existence at once

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q1
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.04 (local)

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Think of an LLC as a wall between the business and the owner's personal life. Most business debts stay on the business side. But the wall has doors that the owner can open: signing a personal guarantee, causing harm personally, or treating business money as personal money. Each of these can let business problems reach the owner. Forming an LLC builds the wall; careful habits keep the doors closed.

Which is a "door" through the wall?

A. Keeping separate bank accounts
B. Filing the LLC paperwork
C. Signing a personal guarantee
D. Using the LLC name on contracts

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q2
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.04 (local)

Learn
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Mixing business and personal money does what?

A. Makes the wall stronger
B. Can weaken the wall
C. Creates a corporation
D. Has no effect at all

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q3
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.04 (local)

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Do most ordinary business debts stay on the business side?

A. Generally, yes
B. Only for corporations
C. Never
D. Only after five years

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q4
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.04 (local)

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What keeps the doors closed?

A. Ignoring contracts
B. Posting about the business often on several social media accounts
C. Changing the logo often
D. Careful habits, like separate accounts and not guaranteeing debts personally

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-B1-Q5
Entrepreneurship, Set 22: LLCs and corporations · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.04 (local)

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Lee's LLC owes a supplier 4,000 dollars and cannot pay. Lee signed nothing personally and kept money separate. Generally, whose debt is it?

A. The state's debt
B. The supplier's own debt
C. The LLC's debt
D. Lee's personal debt automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q1
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.04 (local)

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Same LLC, but Lee personally guaranteed a 10,000-dollar loan. If the LLC cannot repay, who may have to pay?

A. Only the LLC, never Lee
B. No one
C. The bank absorbs the loss automatically
D. Lee personally

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q2
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.04 (local)

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An LLC owner pays personal rent from the business account every month and records nothing. What risk does this create?

A. It lowers the owner's taxes automatically
B. No risk; LLC money is the owner's to use any way
C. It can weaken the separation between owner and LLC
D. It turns the LLC into a corporation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q3
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Which business is a corporation?

A. One formed with the state that issues shares to owners
B. Two friends sharing profits with no filing
C. A single owner selling crafts at markets with no state filing at all
D. A brand name printed on a website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q4
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An LLC owner personally causes a car accident while driving for the business. What should the owner understand?

A. Accidents are never a business concern.

B. Personal wrongful acts can create personal responsibility, and insurance matters.

C. The LLC always shields the owner from any claim about any accident at all.

D. Only the other driver is ever responsible.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F1-Q5
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.04 (local)

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A friend says, "Form an LLC and you can never be sued." What is wrong with this?

A. Nothing is wrong, because LLC owners can never be sued for anything
B. Only corporations can be sued
C. People can still sue, and owners can still be responsible in some situations
D. LLCs make lawsuits illegal

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q1
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.04 (local)

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A friend says, "An LLC automatically saves taxes." What should the owner check?

A. How the LLC will be taxed and whether it actually changes her taxes
B. Nothing, because forming an LLC always saves taxes for its owners
C. Only the LLC's logo design
D. Whether the bank likes LLCs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q2
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.04 (local)

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An owner forms an LLC but keeps signing contracts in her own name only. What risk might this create?

A. The state will cancel the LLC immediately
B. She may be personally bound by those contracts
C. None; the LLC covers anything she signs
D. The contracts become invalid automatically

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q3
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.04 (local)

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Which detail should an owner verify before relying on LLC protection for a risky activity, such as running trampoline parties?

A. The number of social media followers the business has gained
B. The domain renewal date
C. Insurance coverage and how liability works for that activity
D. Logo colors

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q4
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.04 (local)

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Which statement is accurate?

A. An LLC is required for every business.
B. An LLC means its owners can safely ignore the contracts they sign.
C. An LLC replaces the need for insurance.
D. An LLC can help, but it works best with separate money and careful signing.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S22-F2-Q5
Entrepreneurship, Set 22: LLCs and corporations · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.04 (local)

Set 23: Legal structure versus tax treatment

Outcome ENT.LEGAL.05: Separate an entity's legal form from how it is taxed

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
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Who sets a business's legal form?

A. The IRS, by assigning it a tax form
B. State law, through the entity's formation
C. Customers, by how they pay
D. The bank, when it opens an account

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q1
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q1/5 · Outcome ENT.LEGAL.05 (local)

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By default, a single-owner LLC is usually taxed how for federal income tax?

A. Always as a large corporation with shareholders
B. As a partnership, even with one owner
C. Never taxed at all, since it is an LLC
D. With its owner ("disregarded")

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q2
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q2/5 · Outcome ENT.LEGAL.05 (local)

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By default, an LLC with three owners is usually taxed as what?

A. A sole proprietorship
B. A government agency
C. A partnership
D. A nonprofit

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q3
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q3/5 · Outcome ENT.LEGAL.05 (local)

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Can an LLC choose to be taxed as a corporation?

A. Yes, by making an election
B. Only if it changes its name
C. No, never, under any circumstance
D. Only if it closes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q4
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q4/5 · Outcome ENT.LEGAL.05 (local)

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"My business is an LLC." What does this tell you for sure?

A. Exactly how it is taxed
B. Its legal form
C. How much tax it owes this year
D. That it pays no tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-M-Q5
Entrepreneurship, Set 23: Legal structure versus tax treatment · MAIN · Q5/5 · Outcome ENT.LEGAL.05 (local)

Learn
Think of a student with two labels: the school they attend (set by enrollment) and the sports team they play on (set by tryouts). Knowing the school does not tell you the team. A business also has two labels: its legal form (set by state filings) and its tax treatment (set by IRS rules and elections). Knowing one does not automatically tell you the other.

A business's legal form is like a student's what?

A. Shoe size
B. Sports team
C. Favorite food
D. School

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q1
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.05 (local)

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Tax treatment is like what?

A. The cafeteria lunch menu
B. The team, chosen separately
C. The bus route
D. The school

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q2
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.05 (local)

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Does knowing the legal form always tell you the tax treatment?

A. Only in summer
B. Yes, always
C. No
D. Only for big companies

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q3
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.05 (local)

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Who decides tax treatment rules?

A. Federal IRS rules and the business's elections
B. The state alone, with no federal rules applying at all
C. The bank
D. Customers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q4
Entrepreneurship, Set 23: Legal structure versus tax treatment · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.05 (local)

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Which word means "choosing" a tax treatment?

A. Registration
B. Formation
C. Election
D. Reconciliation

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-B1-Q5
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Ana forms an LLC alone and makes no tax election. What are her legal form and default federal tax treatment?

A. Sole proprietorship; not taxed at all

B. Corporation; taxed as a corporation

C. Partnership; taxed as a partnership

D. LLC; taxed with Ana as a disregarded entity

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q1
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.05 (local)

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Ben and Cal form an LLC together with no election. What is the default federal tax treatment?

A. Corporation automatically
B. Partnership
C. No tax ever
D. Disregarded with Ben only

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q2
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An LLC elected to be taxed as a corporation. What is its legal form now?

A. A partnership
B. A corporation under state law automatically
C. Still an LLC
D. A sole proprietorship

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q3
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A friend says, "LLCs pay a special LLC tax rate." What is the best response?

A. Only states tax LLCs
B. Yes, every LLC in the country pays one special LLC tax rate
C. Tax depends on how the LLC is classified, not on "LLC" alone
D. LLCs never pay any tax

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q4
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Who is the best person to help decide whether an LLC should make a tax election?

A. A web designer
B. An accountant or tax professional
C. A social media manager for the business
D. A sign printer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F1-Q5
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.05 (local)

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An owner thinks forming an LLC changed her tax forms automatically into corporate forms. What should she check?

A. Her logo's file format
B. Her competitor's prices and the services they list online
C. Her domain renewal date
D. Her LLC's tax classification and what returns it must file

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q1
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Two owners disagree: one says their LLC is a partnership, the other says it is an LLC. What is the clearest way to put it?

A. Legally an LLC; by default taxed as a partnership

B. Neither, since it has two owners

C. Only a partnership, not an LLC

D. Only an LLC, which has no tax treatment of any kind

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q2
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Rules about elections and deadlines can change. What is the sensible approach for a beginner?

A. Assume the rules never change and rely on what a friend did years ago

B. Check current IRS guidance or ask a tax professional before choosing

C. Rely on an old blog post

D. Ask a competitor

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q3
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.05 (local)

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Which statement is accurate?

A. Sole proprietorships are taxed as corporations.

B. All LLCs are taxed as corporations by default.

C. A sole proprietorship and a single-owner LLC can both be taxed with the owner by default.

D. A single-owner LLC can never be taxed together with its owner under any rule.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q4
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.05 (local)

Learn
A business's LEGAL FORM (sole proprietorship, partnership, LLC, corporation) is set by state law. Its TAX TREATMENT is how the IRS taxes it, which is a separate question. An LLC is a good example. By default, for federal income tax, a single-owner LLC is usually taxed with its owner (the IRS calls it "disregarded"), and a multi-owner LLC is usually taxed as a partnership. An LLC can choose (elect) to be taxed as a corporation. So "LLC" tells you the legal form, not automatically how it is taxed. Source: IRS; check current rules.

Which information is needed to know how an LLC is taxed?

A. Its logo and slogan
B. Its number of social media followers and likes
C. Its website color scheme
D. Its number of owners and whether it made an election

REFERENCE LABEL: NOT PART OF THE QUESTION ID S23-F2-Q5
Entrepreneurship, Set 23: Legal structure versus tax treatment · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.05 (local)

Set 24: Forming an LLC: state filing and registered agent

Outcome ENT.LEGAL.06: Order the conceptual steps of forming an LLC and explain the registered agent's role

Module: Foundation 4: Names and legal structure

Course scope: general education for US learners, not legal, tax or financial advice. Rules, fees and platform policies change and vary by state and city; each lesson says what to check and where. All businesses and people in the questions are fictional unless a lesson names a real company.

Learn
Forming an LLC, at a basic level: (1) choose a name that the state will accept; (2) name a registered agent, a person or company with a physical address in the state who accepts official legal papers for the business during business hours; (3) file formation papers (often called articles of organization) with the state and pay the fee; (4) write an operating agreement; (5) then handle tax IDs, licenses and a bank account. Many states do not accept a PO Box for the registered agent. Steps and fees vary by state; check the state's official business filing site.

What does a registered agent do?

A. Accepts official legal papers for the business
B. Opens and manages the business's bank account
C. Files the owner's personal tax return every spring
D. Designs the logo and picks brand colors for the LLC

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q1/5 · Outcome ENT.LEGAL.06 (local)

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Which step creates the LLC itself?

A. Printing business cards that say "LLC" on them
B. Buying a matching domain name for the website
C. Filing formation papers with the state
D. Opening a business bank account at a local bank

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q2/5 · Outcome ENT.LEGAL.06 (local)

Learn
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Which order makes the most sense?

A. Print signs first, then pick a registered agent years later
B. Choose a name and agent, file with the state, then open a bank account
C. Apply for licenses before deciding what business it is
D. Open a bank account, then decide whether to form the LLC later

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q3/5 · Outcome ENT.LEGAL.06 (local)

Learn
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Many states do not accept which address for a registered agent?

A. The agent's own office address in the state
B. A street address where someone is present
C. A physical office address inside the state
D. A PO Box

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q4/5 · Outcome ENT.LEGAL.06 (local)

Learn
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Where should a founder confirm the exact steps and fees?

A. An old textbook from another country
B. A competitor's opinion about filing fees
C. The state's official business filing website
D. A random social media post about LLCs

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-M-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · MAIN · Q5/5 · Outcome ENT.LEGAL.06 (local)

Learn
Picture the front desk of an office building. When an important letter arrives, someone at the desk signs for it and makes sure it gets to the right person. A registered agent is the business's official front desk for legal papers. That is why the agent needs a real street address in the state and must be available during business hours: someone has to be there to receive the papers.

A registered agent is most like what?

A. A delivery truck that carries packages
B. A bank teller
C. An office front desk for legal papers
D. A logo designer

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q1/5 · Outcome ENT.LEGAL.06 (local)

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Why does the agent need a street address?

A. So customers can walk in and shop there in person
B. Someone must be able to deliver papers there
C. So the logo looks local
D. So taxes are lower

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q2/5 · Outcome ENT.LEGAL.06 (local)

Learn
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When must the agent usually be available?

A. Never
B. Only on holidays
C. Only late at midnight
D. During business hours

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q3/5 · Outcome ENT.LEGAL.06 (local)

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What does the agent receive?

A. Job applications
B. Customer orders
C. Official legal papers and notices
D. Product shipments from suppliers

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q4/5 · Outcome ENT.LEGAL.06 (local)

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Which is a good choice for a registered agent?

A. An email address only
B. Someone with a reliable in-state street address
C. A friend who moves often and has no address
D. A PO Box in another state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-B1-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · BACKWARD 1 (concept simplification) · Q5/5 · Outcome ENT.LEGAL.06 (local)

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Lia wants an LLC but works away from home all day and moves often. What registered agent choice fits best?

A. A PO Box near her apartment

B. Her email address

C. Her own home address, even though she is rarely there

D. A registered agent service with a stable in-state office

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q1/5 · Outcome ENT.LEGAL.06 (local)

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Ana filed her LLC papers. The state approved them. What is a sensible next step?

A. Choose a name the state will accept
B. Write an operating agreement and handle tax IDs and banking
C. File the formation papers again
D. Pick a registered agent for the very first time now

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q2/5 · Outcome ENT.LEGAL.06 (local)

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A state charges a 125-dollar filing fee and a registered agent service costs 100 dollars a year. What is the first-year cost of these two items?

A. 100 dollars

B. 25 dollars

C. 225 dollars

D. 125 dollars

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q3
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Raj picked a name, but the state rejects it as too similar to an existing LLC. What should he do?

A. File anyway and hope it passes
B. Skip forming the LLC entirely
C. Choose a different name and check availability first
D. Use the rejected name anyway, but only on his website

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q4/5 · Outcome ENT.LEGAL.06 (local)

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Which item is NOT part of forming the LLC with the state?

A. Paying the state filing fee
B. Filing formation papers
C. Naming a registered agent
D. Designing the company logo

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F1-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 1: APPLY IT · Q5/5 · Outcome ENT.LEGAL.06 (local)

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Mo wants privacy and plans to list his PO Box as the registered agent address. What should he check first?

A. Whether the PO Box is cheap
B. Whether his state allows a PO Box for the registered agent
C. Whether his logo fits neatly in the space on the state form
D. Whether friends use PO Boxes

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q1
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q1/5 · Outcome ENT.LEGAL.06 (local)

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An LLC's registered agent quits and the owner forgets to replace them. What is the main risk?

A. Official legal papers might not reach the business

B. The LLC automatically turns into a corporation

C. Taxes drop to zero

D. No risk; agents are optional

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q2
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q2/5 · Outcome ENT.LEGAL.06 (local)

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A website offers "LLC formation in 5 minutes" for 300 dollars plus the state fee. What should a founder understand?

A. Only paid services can file

B. Services guarantee lower taxes

C. The whole 300-dollar service fee is paid to the state as a tax

D. The state filing can often be done directly; services add their own fee

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q3
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q3/5 · Outcome ENT.LEGAL.06 (local)

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A founder plans to operate in a second state. What should she check?

A. Whether to dissolve the first LLC
B. Whether her logo is popular in that state
C. Whether that state requires registering the LLC there too
D. Nothing; one state filing automatically covers every other state

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q4
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q4/5 · Outcome ENT.LEGAL.06 (local)

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Which statement is accurate?

A. Only federal law controls LLC formation.
B. Formation steps and fees vary by state.
C. LLCs never need a registered agent.
D. Every state has identical forms and fees.

REFERENCE LABEL: NOT PART OF THE QUESTION ID S24-F2-Q5
Entrepreneurship, Set 24: Forming an LLC: state filing and registered agent · FORWARD 2: HANDLE THE COMPLICATIONS · Q5/5 · Outcome ENT.LEGAL.06 (local)